

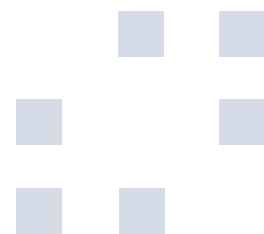
ANNUAL REPORT 2023





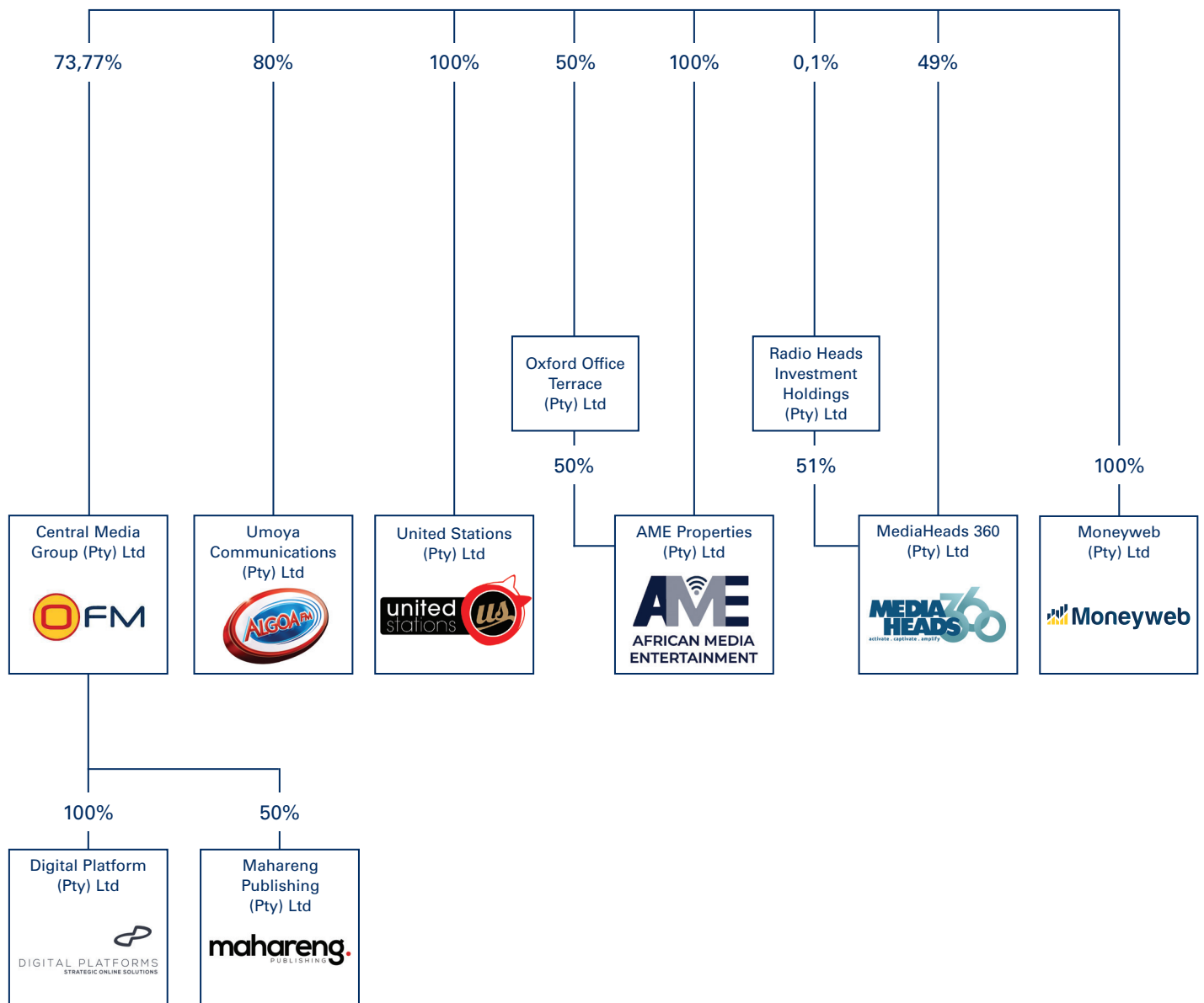
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GROUP STRUCTURE

African Media Entertainment Limited
Group structure – as at 31 March 2023
All South African companies





YOUR MUSIC, YOUR WORLD



We're growing our brand, enjoying activations, sponsorships and brand building events including; A Night with the Classics, the ISUZU Corporate Triathlon Challenge powered by Algoa FM, IRONMAN, The Outeniqua Chair Challenge, DHL Stormers vs Dragons, Sunrises Eastern Cape and the Sunshine Tour, Nelson Mandela Bay Championship. The activations, such as Outside Broadcasts and hit mobiles, have consistently experienced remarkable growth.



Laerskool Dr Viljoen in Holland Park, Gqeberha, will soon receive a fresh coat of paint through a partnership between City Paint and Tool and Algoa Cares, the corporate social responsibility arm of Algoa FM.



The Algoa Cares Charity Golf Days were successfully hosted in George and in East London. These events raised R20,000 for the Carpe Diem School in George and an impressive R80,000 for the Guardians of Hope in East London.



Cedarberg primary School was chosen as the secondary beneficiary by the Department of Sport, Recreation, Art & Culture, receiving sporting equipment worth R50,000 for various sporting codes



The 2022 Algoa FM Big Walk for Cancer celebrated its 24th edition. Over the years, Algoa FM has donated more than 2.27 million to cancer charities, supporting patients and survivors. The walk expanded to include East London and the Southern Cape for the first time, while virtual participation was also possible. Key sponsors such as The Eastern Cape Department of Sport, Recreation, Art & Culture, ISUZU Motors South Africa, aQuelle and MTN, resulted in their continued support as well as a new partner, Promato Capsules, contributed to the event's success.



Algoa FM proudly engaged in a media partnership with IRONMAN South Africa, including the thrilling ISUZU Corporate Triathlon Challenge powered by Algoa FM. The partnership with IRONMAN South Africa and the ISUZU Corporate Triathlon challenge underscored Algoa FM's dedication to promoting an active and healthy lifestyle while fostering community engagement and camaraderie



Algoa FM established a valuable media partnership with "A Night with the Classics," a captivating music event held on the 23rd and 24th of April. This partnership allowed us to showcase our commitment to promoting diverse cultural experiences and supporting national and local artistic talents



The Nashua Invitational Golf Day was a fundraising event held at Bloemfontein Golf Club on April 13, 2023.



From January 9th to February 3rd, 2023, Stadium Fast Foods hosted an exciting event in Bloemfontein and Kimberley. Participants had the opportunity to win a special office lunch treat for themselves and their colleagues, worth up to R1000.



The Surrender Hill Marathon, held on March 4, 2023, in Clarens, Eastern Free State, was a highly anticipated event. Participants had the option to choose from various race distances, including the 42.2km, 21.1km and 10km races, with a 5km fun run also available. The marathon served as an official qualifier for prestigious races such as the Two Oceans and Comrades.



Central South Africa was buzzing with excitement as we launched the OFM O-dition Audition Tour in various cities across the region. Aspiring voices gathered in Bloemfontein, Kimberley, Vanderbijlpark, Potchefstroom, Klerksdorp, Bethlehem, Welkom and Upington between 26 January and 16 February 2023 for a chance to win an exclusive presenter contract with us. The auditions took place from 11:00 to 18:00 each day, allowing individuals to showcase their abilities and passion for the radio industry.





The Shoprite Checkers OFM Chip4Charity event was a remarkable initiative that took place in two towns, Hartswater and Welkom.



In a heartwarming initiative, OFM, along with several clients, recognized the harsh realities faced by many individuals in our communities around Central SA during the expensive winter season.



Yonder Hartsfees was an incredible event that took place from August 24th to August 28th at Malu Park. This event aimed to showcase that a disability should not be a barrier to living life to the fullest.



Take your Campaign OFF Mute Masterclass: MediaHeads 360 kicked off the 2023 calendar year with an audible bang! They took agencies and clients' campaigns 'Off Mute' with an extremely insightful masterclass on how to use storytelling to make sure they reach their audiences with impact.



UBETTINA WETHU SEASON 2: MediaHeads 360 continued showcasing how brands can use meaningful content integration to its fullest potential in Season 2 of the TV Dramey uBettina Wethu with clients such as Standard Bank and AMKA group with brands Satiskin, Clere, Turbomite and more.



WIMPY: What better way to encourage enjoying sit-down meals at Wimpy than inviting listeners to lunch with a DJ? Promoting the Wimpy Burger, Chips and Shake meal deal, we invited listeners to share why they'd like to join METRO FM DJs for lunch and captured the entire experience showcasing that at Wimpy, everyone is welcome.



The Standard Bank team had an immersive experience in Soweto with Jozi FM, delving into the intricacies of the Kasi Economy and discovering its potential to benefit their clients.



United Stations joined the PHD Halloween Party, a spectacular event sponsored by Mix 93.8.



United Stations organized a donut drop for Smile FM, delighting Johannesburg agencies and clients while raising brand awareness in the process for the station.



United Stations, Algoa FM, and OFM organized an enjoyable event where agencies and clients enthusiastically participated in a Culinary Clash. The victorious team was overjoyed with their prizes and, naturally, the bragging rights that came with their triumph!



The Moneyweb radio team celebrating with the SAfm radio station.



Better Investor Conference in action



Behind the scene of the Better Investor Conference.



Jeremy Maggs in studio for the first FixSA podcast interviewing Sim Tshabalala.



Editor Ryk van Niekerk behind the scenes with SAfm Market Update presenter Fifi Peters ahead of the first Better Investor Conference.

DIRECTORATE AND EXECUTIVE

BOARD OF DIRECTORS

Andrew CG ("Connie") Molusi (61)
Independent non-executive chairman
BJournalism, MA
Appointed 18 March 2004

Connie has been involved with the media industry for many years and holds a number of directorships.

Marthinus J Prinsloo (68)
Independent non-executive director
BCom (Law), CA(SA)
Appointed 13 November 2003

Inus spent many years in the merchant banking industry and now practises as a corporate finance advisor.

Dimakatso S Qocha (48)
Independent non-executive director
LLB, Postgraduate Diploma in Interpretation and Drafting of Contracts and Masters in ICT Policy and Regulation
Appointed 1 September 2022

Adv. Dimakatso Qocha is a former ICASA Councillor and an ICT Policy and Regulatory Specialist. She was also the Deputy Executive Director of the National Association of Broadcasters. She has extensive experience in the ICT sector and broadcasting regulatory environment and served on various boards in the media industry.

Jefferine Edwards (63)
Independent non-executive director
BCompt (Hons)
Appointed 1 July 2018

Jefferine joined the group in 2012 when she was appointed as non-executive director of one of the subsidiaries, United Stations. She has extensive experience in financial positions and serves on various boards and committees within the media and publication industries.

Kim Williams-Thipe (62)
Independent non-executive director
BA (Economics), MBA, CM(SA)
Appointed 1 July 2018

With more than 20 years of media and marketing experience, Kim started her career in the broadcasting industry and continued in the marketing industry where she has held various leading positions including CMO of South African Airways and currently holds directorship in various industries. She is currently the Vice Chairperson of the Marketing Association of South Africa (MASA) and Councillor at the Marketing, Advertising and Communications SA (MAC SA) Charter Council. She is a specialist in digital and social media.

Michelle A da Costa (41)
Independent non-executive director
BCompt (Hons), CA(SA)
Appointed 12 July 2021

Michelle has diverse finance experience both in the corporate environment where she currently works within the aviation industry, and previously as a JSE accredited audit partner at Grant Thornton Johannesburg with a broad client portfolio across various industries.

Robert CH ("Rob") Fedder (41)
Non-executive director
BCom (Financial management)
Appointed 8 November 2022

Rob Fedder has more than 15 years of management experience in various listed and non-listed entities. Currently he is a Group Executive at Caxton and CTP Ltd and also the CEO of Cognition Holdings Ltd. He is a business turnaround strategist with his core focus areas being change management strategies and implementation, as well as acquisitions and mergers, and sale of businesses.

Sakhiwo N Ngobese (54)
Independent non-executive director
Dip DPSA, B. Com, EDP
Appointed 1 November 2022

Sakhiwo brings more than 20 years of experience in the field of information technology in the media and entertainment industry and has a diverse background in both Private and Public sector settings, with extensive experience in IT modernisation and transformation. He has expertise in serving in a CIO and IT Director capacity and directing product strategy, architecture, and delivery functions. He has led implementations of ERP, digital projects and specialises in IT Governance and Risk management.

Angela J Isbister (43)
Financial director
PGDA (UCT), CA(SA)
Appointed in executive capacity
1 September 2010

Appointed as financial director
1 December 2018

Angela joined the group in April 2010. She completed her articles at Deloitte & Touche and worked for them in Johannesburg and San Francisco before moving to the UK where she worked in transactional services and as a financial analyst for a number of large organisations including the National Health Service.

David Tiltmann (59)
Group chief executive officer
BCom (Industrial Psychology, Business Economics)
Appointed as group CEO on
1 December 2018

David obtained his BCom from UPE in 1986. He joined Algoa FM in 1989 and was appointed as the managing director of the radio station in February 2000. David was inducted into the South African Radio Hall of Fame in April 2018. He has worked as a Broadcast Liaison Officer at the 2010 and 2018 Soccer World Cup in South Africa and Russia respectively.

EXECUTIVE MANAGEMENT

The major subsidiaries of the group are managed by the following senior executives:

Rivak Bunce (61)
United Stations

Rivak has a strong background in training, having managed his own training franchise for several years. He joined Radio 702 in 1987, rising to the position of Sales Manager. He subsequently worked for Primedia group as group sales director until co-founding United Stations in March 2000. He joined the AME group when that company was acquired in November 2002.

Alfie JE Jay (55)
Umoya Communications – Algoa FM

Alfie began his career with Algoa FM as a production engineer in 1990. During his 34 years in the business, he has successfully held many different positions including Producer, Presenter, News Journalist, Technical Manager, Programme Manager and Operations Director. Alfie has served as an Executive on the Board of Umoya Communications (Pty) Ltd t/a Algoa FM since September 2008. Under his guidance, he has led the station's product output to countless new heights and accolades, including the coveted Commercial Station of the Year Award in 2018. He is the co-chair of the Broadcast Research Council of South Africa and serves on the Board of the Nelson Mandela Bay Business Chamber. He was appointed as managing director of Algoa FM on 1 April 2019.

Nick Efstathiou (46)
Central Media Group – OFM

Nick Efstathiou has been with OFM since 2001 when he was appointed as Morning Show Producer and Marketing and Events Coordinator. In 2004, he took over as Marketing Manager and in 2011, he was appointed as Group Marketing Manager of CMG. In this capacity, he was responsible for the implementation and management of marketing strategies for the CMG Group. In 2012, he was appointed as General Manager of OFM. Under his leadership, OFM achieved the highest instances of time spent listening ("TSL") in South African commercial radio, a Grand Prix Loerie and 13 nominations at the Liberty SA Radio Awards in 2018, with two outright wins. Nick was appointed as managing director of CMG on 1 March 2019 and completed his MBA at the North-West University in 2020.

COMPANY SECRETARY

Chrisna Roberts (48)
BCompt (Hons), CA(SA), RA, MTP
Appointed 1 April 2015

Chrisna did her articles at Lloyd Viljoen Registered Auditors where she subsequently became an audit partner. She is also a partner in Wallrich Business Services where she is responsible for the Company Secretarial and Tax division.

CORPORATE GOVERNANCE

KING IV

AME supports the principles set out in the King IV Report on Corporate Governance and, where appropriate to the company and the group, is committed to the implementation of these principles. The company is listed on the Johannesburg Stock Exchange ("JSE") and complies with its Listings Requirements.

Set out below is an explanation of the measures introduced by the company pursuant to the King Code and the Listings Requirements.

A full analysis of the King IV application can be viewed on our website under the "Investor Relations/Corporate Governance" heading at www.ame.co.za.

BOARD APPOINTMENTS

Each year no less than one-third of the non-executive directors of the board retires by rotation, as required by the Memorandum of Incorporation of the company.

Mr ACG Molusi will retire by rotation at the next annual general meeting, and being eligible, is available for re-election.

Mrs K Williams-Thipe will retire by rotation at the next annual general meeting, and being eligible, is available for re-election.

Ms DS Qocha was appointed as a director on 1 September 2022 and her appointment will be ratified at the annual general meeting. Please refer to her background profile on page 7.

Mr SN Ngobese was appointed as a director on 1 November 2022 and his appointment will be ratified at the annual general meeting. Please refer to his background profile on page 7.

Mr RCH Fedder was appointed as a director on 8 November 2022 and his appointment will be ratified at the annual general meeting. Please refer to his background profile on page 7.

Appointments to the board are done in a formal and transparent manner and are a matter of deliberation by the board. In general, the appointment of a nomination committee is therefore not deemed necessary.

BOARD OF DIRECTORS

The board presently comprises of six independent non-executive directors (two of which were appointed on 1 September 2022 and 1 November 2022), one non-executive director (appointed 8 November 2022), two executive directors and an independent non-executive chairman. The managing directors of AME's subsidiaries report on the activities of their respective companies to the CEO, and attend the AME board meetings where they provide feedback on those businesses.

Mr ACG Molusi and Mr MJ Prinsloo have served on the board as independent non-executive chairman and members of the board and its committees, respectively, for longer than ten years. These individuals are directors

of several other companies, are not involved in the company at any level, are there to give guidance only and have no dealings either directly or indirectly with the company or any of its subsidiaries. The board has assessed their service and independence and their judgement was not considered to be affected or impaired by the length of service.

The independence of all non-executive directors are reviewed each year regardless of their length of service. Independence is maintained by ensuring that there are no material transactions between the directors and the company, no loan accounts or any material share transactions, nor any operational involvement in the company.

There is a clear division of responsibilities at board level, with the various sub-committees tasked with executing their objectives independently from the board. Decision-making at board level is on an equal voting basis and no one individual director has unfettered powers of decision-making.

The board is scheduled to meet a minimum of four times in the year.

Board meeting attendance

	Jun 2022	Aug 2022	Nov 2022	Mar 2023
ACG Molusi*	✓	✓	✓	✓
DS Qocha*	N/A	✓	✓	✓
J Edwards*	✓	✓	✓	✓
KW Thipe*	✓	✓	✓	✓
MJ Prinsloo*	✓	✓	✓	✓
MA Da Costa*	✓	✓	✓	✓
RCH Fedder**	N/A	N/A	✓	✓
SN Ngobese*	N/A	N/A	✓	✓
AJ Isbister***	✓	✓	✓	✓
DM Tiltmann***	✓	✓	✓	✓

* Independent non-executive director

** Non-executive director

*** Executive director

N/A – not yet appointed

BOARD DIVERSITY

The Listings Requirements require that the board of the company (or its nomination committee, where applicable) adopts a policy on the promotion of age, gender and racial equality at board level. AME is committed to age, gender and racial equality and diversity and does not discriminate in terms of age, gender, race or religion. There are currently five female members on the board, whose brief background profiles appear on page 7 of this annual report. The board has five directors of colour.

FINANCIAL INFORMATION

The directors acknowledge responsibility for the preparation of the annual financial statements which, in their opinion, fairly present the state of affairs of the company and the group at 31 March 2023 and their operations and cash flows for the year then ended. The external auditor is responsible for reporting on the fair presentation of these financial statements.

The financial statements are prepared in accordance with International Financial Reporting Standards ("IFRS"), the financial reporting pronouncements as issued by the Financial Reporting Standards Council, the requirements of the Companies Act of South Africa ("the Companies Act") and the Listings Requirements of the Johannesburg Stock Exchange and are consistent with those for the previous annual financial statements.

They are based on appropriate accounting policies, which have been consistently applied and which are supported by reasonable and prudent judgements and estimates.

The directors also prepare the other information included in the annual report and are responsible for both its accuracy and its consistency with the financial statements. The financial statements have been audited by independent auditor BDO South Africa Incorporated, which was given unrestricted access to all financial records and related data, including minutes of all meetings of shareholders, the board of directors and committees of the board.

The directors believe that representations made to the independent auditor during its audit were valid and appropriate.

AUDIT AND RISK COMMITTEE

The committee presently comprises:

- MA Da Costa (Chairwoman)*
- MJ Prinsloo (Member)*
- J Edwards (Member)*
- SN Ngobese (Member)*

* independent non-executive director

Ms MA Da Costa will be proposed for re-election as the chairwoman of the audit and risk committee at the annual general meeting. Mr MJ Prinsloo and Mrs J Edwards will be proposed for re-election as members at the next annual general meeting. Mr SN Ngobese will be proposed for election at the annual general meeting.

The audit and risk committee has adopted a written charter based on the Companies Act and the Memorandum of Incorporation. The audit and risk committee members have considered and are of the opinion that they are adequately independent from the company and group and management thereof, within the full spirit of the Code of Corporate Practices and Conduct.

The independent auditor has unrestricted access to the committee.

The committee meetings focus on financial reporting requirements, both internal and external, and review fees charged by the independent auditor (for audit and consulting assignments) and directors for their professional services beyond their roles as directors, and the appointment of the independent auditor.

Due to the size of the company and its subsidiaries an internal audit department is not deemed functional or effective. The size of the company allows the senior management to oversee and control daily functions and manage risk on a hands-on basis.

The scope and objectivity of the external auditor was reviewed, and the appointment of the external auditor complies with the Companies Act and with the JSE Listings Requirements, including confirming compliance by the auditor with section 22.15(h). The use of the independent auditor for non-audit services is reviewed based on materiality of work done to ensure that the independence of the auditor is maintained.

The audit and risk committee is responsible for evaluating the expertise and experience of the full time financial director. It has also considered and found appropriate the expertise and adequacy of resources of the finance function and experience of the senior members of management responsible for the finance function.

The audit and risk committee has satisfied its responsibilities for the year in compliance with its charter.

Audit and risk committee meeting attendance

	May 2022	Nov 2022	Mar 2023
MA Da Costa*	✓	✓	✓
MJ Prinsloo*	✓	✓	✓
J Edwards*	✓	✓	✓
SN Ngobese*	N/A	✓	✓

* Independent non-executive director

N/A – not yet appointed

CORPORATE GOVERNANCE CONTINUED

SOCIAL AND ETHICS COMMITTEE

The committee presently comprises:

- KW Thipe (Chairwoman)*
- ACG Molusi (Member)* until November 2022
- J Edwards (Member)* until November 2022
- SN Ngobese (Member)* from November 2022
- DM Tiltmann (by invitation)** from November 2022
- MN Tsebe (Representative)
- AJE Jay (Representative)
- N Efstathiou (Representative)
- CA Dempers (Representative)
- RR Bunce (Representative)
- E Rendall (Representative)

* Independent non-executive director

** Executive director

The committee's composition changed during the year and now comprises of an independent non-executive chairwoman, one independent non-executive director (until November 2022 two independent non-executive directors), and one executive director (from November 2022). Representatives from the group's subsidiary companies attend the meetings by invitation.

The committee is constituted in accordance with section 72 of the Companies Act and its main function is to monitor the company's activities with regard to any relevant legislation, other legal requirements or prevailing Codes of Best Practice.

Mrs KW Thipe will be proposed for re-election as a member and the chairwoman of the social and ethics committee at the annual general meeting. Messrs SN Ngobese and DM Tiltmann will be proposed for election as members at the annual general meeting.

The social and ethics committee has satisfied its responsibilities for the year in terms of the Companies Act and is satisfied that there were no material instances of non-compliance for the year.

Social and ethics committee meeting attendance

	May 2022	Aug 2022	Mar 2023
KW Thipe*	✓	✓	✓
SN Ngobese*	N/A	N/A	✓
DM Tiltmann**	✓	✓	✓
ACG Molusi*	✓	✓	N/A
J Edwards*	✓	✓	N/A

* Independent non-executive director

** Executive director

N/A – not yet appointed or had resigned at the time of this meeting

REMUNERATION COMMITTEE

The committee presently comprises:

- J Edwards (Chairwoman)*
- ACG Molusi (Member)*
- DS Qocha (Member)*
- MJ Prinsloo (Member)*
- DM Tiltmann (by invitation)**
- AJ Isbister (by invitation)**
- CA Dempers (Representative)#
- RR Bunce (Representative)#
- AJE Jay (Representative)#
- D Killian (Representative)#
- N Efstathiou (Representative)#
- M Reynolds (Representative)#
- MN Tsebe (Representative)#

* Independent non-executive director

** Executive director

Representative of subsidiary companies by invitation

The committee comprises an independent non-executive chairwoman and three independent non-executive directors. Executive directors and the representatives of the subsidiary companies attend the meetings by invitation.

The committee is responsible for setting the remuneration policy within the group as well as the non-executive directors' remuneration structures.

Remuneration committee meeting attendance

	May 2022	Mar 2023
J Edwards	✓	✓
MJ Prinsloo*	✓	✓
ACG Molusi*	✓	✓
DS Qocha	N/A	✓

* Independent non-executive director

N/A – not yet appointed

All board sub-committees are scheduled to meet at least twice a year, however, they will meet additionally if considered necessary to perform the functions for which they were established.

REMUNERATION POLICY

The group subscribes to equitable employment policies to ensure that individuals from all demographic groupings are given equal opportunity to be employed and to ensure representivity from all population and gender groups.

The group has several intern programmes in place to employ junior staff at entry level remuneration. These interns are upskilled through on-the-job training initiatives as well as informal and formal training courses, at the group's expense, to enable them to be promoted. These programmes allow for interns to be entrenched as loyal and committed employees, sharing in the culture and values of the group. This practice has the benefit that the initial remuneration cost to the group for interns is relatively low, and as those employees become more skilled their salaries are adjusted to enable the retention of those skills within the group.

The board of directors is fully aware of the need to balance the return to shareholders and the fair remuneration of employees. The company has established a remuneration committee that is

responsible for the review and approval of remuneration packages that are market-related and affordable. Key Performance Indicators are used to reward personal performance of staff members. As the group companies mainly operate within secondary markets, staff members are often lost to the larger metros and to counter this phenomenon the managing directors are empowered to allow for salary adjustments in critical and scarce skills sectors.

Non-executive directors' remuneration is benchmarked and market related.

In the event that the remuneration policy or the implementation thereof are voted against by 25% or more of the votes exercised, the board will review its remuneration policy and will afford such voters the opportunity to consult on the issue.

During 2023 a long-term bonus incentive scheme was implemented that is based on headline earnings per share. This bonus scheme aims to retain key senior management, and enhance collaboration across all the subsidiaries in the AME group.

EMPLOYMENT EQUITY AND SKILLS DEVELOPMENT

Throughout the group, equitable employment policies are in place to ensure individuals from all demographic groups are given the opportunity to be employed and trained by the group. The group places increasing emphasis on maintaining and training those members of staff who can provide excellent service in a small team environment. To this end, the staff incentive scheme will provide financial rewards appropriate to the personal performance of individual staff members.

AME GROUP – ALL STAFF March 2023

Occupational levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Top management	0	0	0	7	1	0	0	4	0	0	12
Senior management	2	1	2	4	4	3	3	9	0	0	28
Professionally qualified and experienced specialist and mid management	3	3	0	9	10	5	3	18	0	0	51
Skilled technical and academically qualified workers, junior management, supervisors, foremen and superintendents	9	3	1	12	22	14	2	30	0	0	93
Semi-skilled and discretionary decision-making	6	1	0	0	10	0	0	1	0	0	18
Unskilled and defined decision-making	7	1	0	0	6	1	0	0	1	0	16
Total permanent	27	9	3	32	53	23	8	62	1	0	218
Temporary workers	3	0	0	1	7	0	1	0	0	0	12
Grand total	30	9	3	33	60	23	9	62	1	0	230

CORPORATE GOVERNANCE CONTINUED

AME STAFF – DISABILITIES March 2023

Occupational levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Top management	0	0	0	0	1	0	0	0	0	0	1
Senior management	0	0	0	0	0	0	0	0	0	0	0
Professionally qualified and experienced specialists and mid-management	0	0	0	0	0	0	0	0	0	0	0
Skilled technical and academically qualified workers, junior management, supervisors, foremen, and superintendents	1	0	0	0	0	1	0	0	0	0	2
Semi-skilled and discretionary decision-making	0	0	0	0	2	0	0	0	0	0	2
Unskilled and defined decision-making	2	0	0	0	1	0	0	0	0	0	3
Total permanent	3	0	0	0	4	1	0	0	0	0	8
Temporary employees	0	0	0	0	0	0	0	0	0	0	0
Grand total	3	0	0	0	4	1	0	0	0	0	8

TRANSFORMATION

Transformation is an important core value. This process focuses on growing the talent pool, identifying talent and suitable mentoring initiatives to groom these individuals into their future roles within the group. The group partakes in the South African Revenue Services Employment Tax Incentive Programme, whereby internships have been created for individuals between the ages of 18 and 29, receiving valuable on the job training and expanding the talent pool for the group.

INTERNAL CONTROLS

The system of internal controls established by management is considered sufficient to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the group's assets, for the benefit of all stakeholders.

RISK MANAGEMENT

The purpose of risk management is to identify risk and assess its impact on the group. The board continually monitors the risks faced by the group, commencing at board level and filtering down to all levels of management by reporting and reviewing mechanisms. Risk is addressed at the audit and risk committee and escalated to the board level where relevant.

KEY RISKS AND RISK MITIGATION

Risk factor	Description	Likelihood	Possible impact	Mitigation
Macro-economic conditions	The constant interruption to the electricity supply to the group due to load-shedding poses ongoing challenges to the broadcasting and administrative infrastructure	High	Medium	The group remains cognisant of the impact of these economic factors on operations and is constantly monitoring its impact on revenue and profitability. To mitigate the impact of load-shedding, proactive solutions have been put in place at all subsidiaries.
Compliance with laws and regulations	The group is required to comply with South African laws and relevant legislation which span across various spheres including but not limited to governance, communication, financial, environmental, human resources and corporate legislation.	Low	High	Management and the respective board committees continuously assess the risks of non-compliance at subsidiary and group level and ensure that all decisions, actions and strategies are aligned with the applicable legislation. Where necessary and when required external advice is sought from experts with focus in the spheres mentioned.
Competition	Competition in the radio broadcasting and within the media industry remains a challenge with a larger portion of media spend being allocated to other advertising mediums and considerable discounting applied to radio advertising by competitors.	Medium	High	The group is focused on expanding its skill sets and its overall ability to create value for advertisers within its portfolio of Radio, Digital, Events, Business Content, Video and Online Audio which enables a competitive edge.
B-BBEE and transformation	The ongoing improvement of the BEE rating is imperative to the group's future revenue growth.	Medium	High	The group is pro-active in its approach to ensuring that optimal BEE levels can be achieved by prioritising transformation throughout its businesses and implementing a B-BBEE plan that is continuously updated based on the changes in legislation and is integrated into the strategic objectives of the group.
Broadcasting transmission failure	There is a risk of broadcasting interruptions due to transmission failures that may arise.	Medium	High	Experienced technical staff closely monitor the network and pro-actively address issues that may arise with service providers.
Key management and staff retention	Retaining experienced and highly skilled staff is a key element to business continuity and maintaining effective operations.	Low	High	The group applies a fair and competitive remuneration policy as noted on page 11. Continual training and development of staff remain a key consideration to ensure that staff are highly skilled.
Cyber risk	Cyber-attacks will cause challenges to continue with certain operations.	Medium	Medium	Experienced technical staff closely monitor the network and pro-actively address issues that may arise. Continual training of staff regarding cyber security remains essential.



CORPORATE GOVERNANCE CONTINUED

HIV/AIDS

The board has given consideration to the HIV/AIDS pandemic and its possible impact on the group's human resources, and does not consider it a major risk.

GOING CONCERN

The going concern basis has been adopted in preparing the financial statements. The group is in a strong financial position, has substantial cash balances and will continue to tightly control expenditure and cash flows, therefore the directors have reason to believe that the businesses of the group will continue to function as a going concern for the foreseeable future.

COMPANY SECRETARIAL AND PROFESSIONAL ADVICE

The company has a dedicated company secretary to ensure compliance with the Companies Act and JSE Listings Requirements. The company secretary is not a director of the company and has no direct or indirect dealings with the company or any of its subsidiaries. Her remuneration is paid on an arm's length basis.

Mrs C Roberts has been the company secretary of AME since 1 April 2015 and is a partner in Wallrich Business Services where she is responsible for the company secretarial and tax division. She also attends annual training updates. The board has satisfied itself that she has the appropriate expertise and experience to meet the responsibilities of her position and has confirmed her suitability for the continued appointment as company secretary.

All directors have unlimited access to the advice and services of the company secretary. All directors are entitled to seek independent professional advice, at the group's expense, concerning the affairs of the group, after obtaining the approval of the chairman. The company secretary is responsible to the board to ensure that the board procedures are followed.

The annual certificate by the company secretary is reflected on page 17.

COMPLIANCE

The board ensures compliance with the Companies Act and the relevant laws, regulations and policies applicable to the group. The board also ensures adherence to and conformity with its Memorandum of Incorporation.

SUSTAINABILITY

Licence

The groups continued existence is dependent on broadcasting licences being granted to OFM and Algoa FM. Both stations' licences were renewed for 10 years in June 2019 and remain compliant.

CHAIRMAN'S REVIEW

During the year under review, group revenue increased by 7% from R250.8 million in 2022 to R268.7 million. In line with the increase in revenue, profitability recovered satisfactorily resulting in an operating profit of R46.2 million compared to a prior year of R39.8 million. Various revenue initiatives implemented over the last year as well as increased market share have resulted in improved performance. During the year, 701 775 shares (2022: 79 174) were repurchased to the value of R22.6 million (2022: R2.5 million) and dividends of R23.3 million (2022: R14.3 million) were paid. This has resulted in a cash balance of R82 million (2022: R91.8 million) at the end of the year. The earnings per share for the year improved from 372.2 cents in 2022 to 485.5 cents.

The group generated cash from operating activities of R48.5 million (March 2022: R47.1 million), paid tax of R11.6 million (2022: R10 million), spent R6.3 million (2022: R3.6 million) on capital expenditure and paid dividends to its equity holders and non-controlling interest holders of R28.7 million (2022: R20 million).

OPERATIONS

Operations throughout the various business units performed well during the year, despite the demanding trading conditions and challenging economic circumstances. Innovation and tight cost control remain imperative focus points.

Algoa FM produced excellent results for the year ended 31 March 2023. Collectively, national and direct sales contributed to Net Radio Revenue ending 12% above budget, which together with tight financial controls, resulted in EBITDA last experienced pre-Covid. This performance was achieved despite a magnitude of conditions such as the severe water crisis, failing municipal infrastructure, disruptive power outages and rising inflation, which was further exacerbated by the State of Disaster, which was only lifted during April of 2022. During the period under review, audiences have grown, online engagement is on an upward trajectory, and cash flow remains positive.

Central Media Group ("CMG") delivered a solid performance in 2023. OFM EBITDA improved despite continued unfavourable trading conditions. Mahareng Publishing and Digital Platforms both maintained their marketshare compared to the prior year through innovation and maintaining strong client relationships. Third party suppliers and input costs into each business remain a challenge and sustainability of the business units will continue to be a focus into the new financial year.

MediaHeads 360 has come out of a difficult year and though they ended the fiscal with a profit they fell short of achieving their 2023 target and ended with an EBITDA of 69% lower than the prior year. The current economic climate and load-shedding crisis have impacted on linear television's performance, in turn hampering the company's diversification strategy into the television realm. The focus for the upcoming financial year is to cement the business's television strategy and long-term vision.

United Stations continued to grow its market share and increase advertiser demand across its full portfolio of media platforms, by aggressively leveraging the many marketing tools at its disposal, including events, streaming, activations, content and marketing services. The team worked hand in hand with its media clients to integrate their assets and as a result, has generated valuable advantages in a highly contested media marketplace. The overriding intention is to create a much broader and more lucrative business than just terrestrial radio.

Moneyweb Despite enormous effort on Moneyweb's behalf, the performance for the year did not deliver as expected. Despite the shortfall, we are seeing marginal growth of 8% year-on-year. The challenge remains growing revenue to required levels to ensure Moneyweb returns to a healthier financial position. As a result, we are focusing on adding more alternative revenue models to complement the current advertising and subscription streams.

DIVIDENDS

An interim dividend for the period ended 30 September 2022 of 100 cents per ordinary share (gross) was declared (September 2021: 80 cents) and paid on 19 December 2022. Due to the cash reserves available, a final dividend (dividend no. 20) for the year ended 31 March 2023 of 250 cents per ordinary share (gross) (March 2022: 200 cents gross) was declared.

PROSPECTS

The board expects the trading conditions for the 2024 financial year to remain challenging due to the unpredictable economy.



ACG Molusi

Independent non-executive chairman

20 July 2023



STATEMENT OF RESPONSIBILITY AND APPROVAL BY THE BOARD OF DIRECTORS

The directors are required in terms of the Companies Act of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the financial statements and related financial information included in this report. It is their responsibility to ensure that the financial statements fairly present the state of affairs of the company and the group as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with International Financial Reporting Standards, the Companies Act and the Listings Requirements of the Johannesburg Stock Exchange.

The financial statements are prepared in accordance with International Financial Reporting Standards and are based upon appropriate accounting policies consistently applied and supported by reasonable and prudent judgements and estimates which were made by management.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the company and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the group and all employees are required to maintain the highest ethical standards in ensuring the company's and group's business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the group is on identifying, assessing, managing and monitoring all known forms of risk across the company and group. While operating risk cannot be fully eliminated, the group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within pre-determined procedures and constraints.

The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The directors have reviewed the group's cash flow forecast for the year to 31 March 2024 and, in the light of this review and the current financial position, they are satisfied that the group has or has access to adequate resources to continue in operational existence for the foreseeable future.

The external auditor is responsible for reporting on whether the financial statements are fairly presented in accordance with the applicable financial reporting framework. The financial statements have been examined by the group's external auditor and its report is presented on pages 22 to 25.

The annual financial statements set out on pages 26 to 68, which were prepared by the financial director, AJ Isbister CA(SA) and which have been prepared on the going concern basis, were approved by the board of directors on 20 July 2023 and are signed on its behalf by:



DM Tiltmann
Group chief executive officer

20 July 2023



AJ Isbister
Financial director

DECLARATION BY THE COMPANY SECRETARY

In terms of sections 88 and 89 of the South African Companies Act, 71 of 2008, as amended ("the Act"), I, in my capacity as company secretary, hereby certify that the company has lodged with the Companies and Intellectual Property Commission all such returns as are required of a public company in terms of the Act and that all such returns are true, correct and up to date.



C Roberts
Company secretary

20 July 2023

CHIEF EXECUTIVE OFFICER AND FINANCIAL DIRECTOR RESPONSIBILITY STATEMENT

The directors, whose names are stated below, hereby confirm that:

- (a) the annual financial statements as set out on pages 26 to 68, fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS;
- (b) to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- (c) internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- (d) the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, having fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls;
- (e) where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls, and have remediated the deficiencies; and
- (f) We are not aware of any fraud involving director.



DM Tiltmann
Group chief executive officer

20 July 2023



AJ Isbister
Financial director

DIRECTORS' REPORT

NATURE OF BUSINESS

The group's main activities are set out on page 15 of this report. All operations are in South Africa.

FINANCIAL RESULTS

The financial results of the group and of the company are set out on pages 26 to 68 of this report. A review of the group's results and performance of the business units is given in the Chairman's review on page 15.

DIVIDENDS

During the year under review, an interim dividend was declared of 100 cents (gross) for the period ended 30 September 2022 (September 2021: 80 cents).

The board declared a final dividend of 250 cents (gross) after year-end for the period to 31 March 2023 (March 2022: 200 cents (gross)).

SHARE CAPITAL

Authorised and issued share capital

	2023 R'000	2022 R'000	Number of shares	
			2023 '000	2022 '000
Authorised				
Ordinary shares	15 000	15 000	15 000	15 000

	2023 R'000	2022 R'000	Number of shares	
			2023 '000	2022 '000
Group and company				
Issued				
Ordinary shares	7 142	7 844	7 142	7 844

SHARE REPURCHASES

The company has over the years proposed at its annual general meeting a special resolution granting the board a general authority to repurchase shares in the company when deemed appropriate and the board has done so when opportune.

The board considers the approval of such authority to be beneficial to the company and its shareholders and accordingly a resolution granting the authority is incorporated in the notice of the annual general meeting in this annual report.

Group and company

In accordance with a general authority to repurchase shares granted to the directors of the company at the annual general meeting of the company held on 25 August 2022 (2021: 26 August 2021), the group repurchased 701 775 ordinary shares (2022: 79 174).

The general repurchase and subsequent cancellation for the group undertaken in 2023 had a net result of reducing share capital by R701 775 and share premium by R3 846 292.

DIRECTORATE

Details of the directorate are given on page 7 of this report. Non-executive directors only receive remuneration for services as directors, executive directors have service contracts with the company and are salaried directors.

Details of their remuneration are set out in note 20 Operating expenses, of the financial statements.

DIRECTORS' INTEREST IN SHARES

Units	2023			2022		
	Indirect beneficial	Total	%	Indirect beneficial	Total	%
MJ Prinsloo	20 000	20 000	0.28	20 000	20 000	0.25

As at 31 March 2023, the aggregate direct and indirect, beneficial interests of the directors in the fully paid issued share capital of the company, was 20 000 shares (2022: 20 000 shares). There has been no material change in the directors' interests in the issued share capital between 31 March 2023 and the date of this report.

In terms of the Memorandum of Incorporation of the company, not less than a third of the non-executive directors retire at the forthcoming annual general meeting and being eligible, offer themselves for re-election.

None of the independent non-executive directors of the company have a director's service contract with the company.

EMPLOYEE SHARE INCENTIVE SCHEME

To date, no shares have been set aside or awarded for the scheme. In terms of the Trust Deed, up to 10% of the company's share capital, being 714 217 (2022: 784 395) ordinary shares, can be utilised for purposes of the scheme.

At 31 March 2023, 714 217 (2022: 784 395) ordinary shares can still be issued to the share scheme.

PROPERTY, PLANT AND EQUIPMENT

The group acquired property, plant and equipment at a cost of R6.3 million (2022: R3.6 million) during the financial year under review (refer to note 3 Property plant and equipment).

There have been no major changes in the nature of the policy relating to the use of property, plant and equipment in the group.

EVENTS SUBSEQUENT TO THE REPORTING PERIOD

The board declared a final dividend of 250 cents (gross) per ordinary share on 1 June 2023 for the year ended 31 March 2023.

Other than the above, to the best of the directors' knowledge, there have been no other material matters between the group's year-end and the date of this report that are required to be brought to the attention of the shareholders.

INVESTMENT IN SUBSIDIARY COMPANIES

The financial information in respect of the company's interest in its subsidiary companies is set out in note 6 Investment in subsidiaries on page 41 of the financial statements.

The aggregate total comprehensive income of the subsidiaries attributable to the company amounted to R35.4 million (2022: R31.6 million); subsidiaries making profits amounted to R38.2 million (2022: R30.8 million) and subsidiaries making losses amounted to R2.8 million (2022: R0.01 million).

GOING CONCERN

The group is in a strong financial position, has adequate cash balances and will continue to tightly control expenditure and cash flows. Therefore, the directors have reason to believe that the business of the group will continue to function as a going concern for the foreseeable future.

The financial statements have been prepared on the basis of accounting policies applicable to a going concern. This basis assumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities, contingent obligations and commitments will occur in the ordinary course of business.



AUDIT AND RISK COMMITTEE'S REPORT

The audit and risk committee ("the committee") is pleased to present this report on its activities during the financial year ended 31 March 2023.

BACKGROUND

The committee was established in line with the requirements of the Companies Act 2008 ("the Act"). It is an independent statutory committee appointed by the board of directors and approved by the shareholders.

TERMS OF REFERENCE

The audit committee adopted a written charter based on the Companies Act and the Memorandum of Incorporation that was approved by the board of directors.

The audit committee conducted its affairs and discharged all its responsibilities during the financial year under review, in compliance with the charter that is available on request from the company secretary.

OBJECTIVE AND SCOPE

The audit committee assists the board in carrying out its duties relating to accounting policies, internal controls, financial reporting practices, identification of exposure to significant risk, and defines a policy for non-audit services to be provided by the external auditor.

MEMBERSHIP

The committee currently comprises Ms MA Da Costa (chairwoman), Messr. MJ Prinsloo, SN Ngobese and Mrs J Edwards. All the members are independent non-executive directors.

The members of the audit committee are of the opinion that they are adequately independent from the company, group and management thereof, within the full spirit of the Code of Corporate Practices and Conducts.

The external auditor has unrestricted access to the audit committee and attends all meetings dealing with the external audit and annual financial statements.

The group CEO and financial director attend audit committee meetings by invitation.

Should the shareholders approve ordinary resolution number 5 per the Notice of the Annual General meeting, Ms MA Da Costa will be re-elected as a member and chairwoman of the audit committee, and Mrs J Edwards and Mr MJ Prinsloo will be re-elected as members of the audit committee and Mr SN Ngobese will be elected as member of the audit committee.

EXTERNAL AUDIT

The committee evaluated the independence of the external auditor and is satisfied that the external auditor remains independent as defined by the Act.

Both audit and non-audit services performed by the external auditor were reviewed and approved. There is a formal procedure that governs the process whereby the auditor is considered for non-audit services and each such letter of appointment is reviewed by the committee.

The committee, in consultation with executive management, agreed to an audit fee for the 2023 financial year. The fee is considered appropriate for the work done. Audit fees are disclosed in note 20 of the financial statements.

Meetings were held with the external auditor and no matters of material concern were raised.

The committee has reviewed the performance of the external auditor and considered the independence of the firm. Based on the independence guidelines issued by IRBA and BDO South Africa Inc being the appointed audit firm for more than 10 years, the committee tendered for a new audit firm to be appointed. The committee recommends that Mazars South Africa be appointed as the new external auditors for the 2024 financial year at the annual general meeting.

FINANCIAL DIRECTOR

As required in terms of the JSE Listings Requirements, the committee has satisfied itself that the company's financial director, Mrs AJ Isbister, has the appropriate expertise and experience to meet the responsibilities of her position and confirmed her suitability for continued appointment as financial director in terms of the JSE Listings Requirements.

COMMITTEE ACTIVITIES

During the financial year to 31 March 2023 the committee performed its duties in terms of its charter and, a summary of the main activities is set out below:

- Enquired and satisfied itself regarding the auditor's compliance with section 22.15(h) of the JSE Listings Requirements.
- Ensured that appropriate financial reporting procedures existed and were applied, which should include consideration of all entities included in the consolidated group financial statements.
- Ensured that it had access to all the financial information of the group to allow the group to effectively prepare and report on the financial statements of the group.
- Nominated the appointment of the external auditor, BDO South Africa Inc (with the designated partner Mr V Ngobese) after satisfying itself, through enquiry, that BDO South Africa Inc is independent.
- Managed the external audit function, including:
 - nature and scope of the audit engagement;
 - determining the fees for the audit; and
 - determining the nature and extent of any other non-audit services, ensuring they are not material and do not have any impact on their independence.
- Reviewed the going concern assumptions as prepared by management for the company and the group.
- Reviewed the accounting practices and internal controls of the company and group.
- Reviewed the annual report and annual financial statements taken as a whole to ensure they fairly present a balanced and understandable assessment of the company's financial position, performance and prospects.
- Reviewed the external auditor's management letters and management's response to these letters.
- Received and dealt appropriately with any concerns or queries.
- Considered and satisfied itself on the appropriateness of the experience and expertise of the financial director as well as the adequacy of the finance function and its resources.
- Considered the JSE proactive monitoring report of 2022 and implemented appropriate action.

RECOMMENDATION OF ANNUAL FINANCIAL STATEMENTS

The committee has evaluated the financial statements for the year ended 31 March 2023 and considers that they comply in all material aspects with the requirements of the International Financial Reporting Standards, the financial reporting pronouncements as issued by the Financial Reporting Standards Council, the Companies Act of South Africa and the Listings Requirements of the Johannesburg Stock Exchange. The committee has therefore recommended the approval of the annual financial statements by the board. The board has subsequently approved the annual financial statements which will be discussed at the forthcoming annual general meeting.

BDO South Africa Inc, the external auditor, provided the shareholders with an unqualified independent audit opinion on whether the financial statements for the year ended 31 March 2023 fairly present, in all material respects, the financial results for the year and the position of the company and the group as at 31 March 2023.



MA da Costa
Chairwoman

Audit and risk committee
20 July 2023



Independent Auditor's Report To the Shareholders of African Media Entertainment Limited

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the group and company financial statements of African Media Entertainment Limited (the group and company) set out on pages 26 to 68, which comprise the group and company statements of financial position as at 31 March 2023, and the group and company statements of profit or loss and other comprehensive income, group and company statements of changes in equity and the group and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of African Media Entertainment Limited as at 31 March 2023, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of Consolidated and Separate Financial Statements* section of our report. We are independent of the group and company in accordance with the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Assessment of impairment of goodwill (note 4 to the consolidated financial statements). In accordance with International Accounting Standard (IAS) 36 "Impairment of Assets," goodwill is required to be assessed annually for impairment. We considered the impairment assessment to be a matter of most significance to our current year audit of the consolidated financial statements, as significant judgement and estimates are applied by management in determining the recoverable amount of each cash-generating unit, which could have a significant impact on the financial results. Management's assessment did not identify a need for impairment in respect of goodwill.	The following procedures were performed, amongst others: • We assessed the design and implementation of relevant controls in the goodwill impairment process performed by management, in particular those controls relating to ensuring that management select the appropriate inputs and assumptions relating to cash flow forecasts and discount rate; • We assessed management's determination of the cash generating units to which goodwill has been allocated by considering the appropriateness in relation to the origination of the goodwill and any subsequent changes since acquisition; • We assessed the reasonability of key inputs and estimations, such as base year financial information, growth rates, discount rates and the period of forecast cash flows. This included consideration of

BDO South Africa Incorporated
Registration number: 1995/002310/21
Practice number: 905526
VAT number: 4910148685

Chief Executive Officer: LD Mokoena

A full list of all company directors is available on www.bdo.co.za

The company's principal place of business is at The Wanderers Office Park, 52 Corlett Drive, Illovo, Johannesburg where a list of directors' names is available for inspection. BDO South Africa Incorporated, a South African personal liability company, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.



	forecast cash flows against approved forecasts and assessing the robustness of the budgeting process applied by management by comparing the current year forecast to the actual results; • We also assessed the growth and discount rates against market and industry data, where available; • By making use of our internal valuations expertise, we independently recalculated the value-in-use calculation using independent market related inputs; and • We assessed the adequacy of the disclosure about the assumptions to which the outcome of the annual impairment test is most sensitive, that is, those that have the most significant effect on the determination of the recoverable amount of goodwill.
Assessment of impairment of investments (note 6 to the separate financial statements) (Company) Investments held by the company have been identified as a matter of most significance to our current year audit of the separate financial statements, as significant judgements and estimation is applied by management in determining the recoverable amount of investments when indicators of impairment have been identified. Indicators of impairment have been identified by management in the current year. However, management's assessment did not identify the need for recognising an impairment of the investments.	The following procedures were performed, amongst others: • We assessed the design and implementation of relevant controls in the goodwill impairment process performed by management, in particular those controls relating to ensuring that management select the appropriate inputs and assumptions relating to cash flow forecasts and discount rate; • We assessed the reasonability of key inputs and estimations used in the discounted cash flow models, such as base year financial information, growth rates, discount rates and the period of forecast cash flows. This included consideration of forecast cash flows against approved forecasts and assessing the robustness of the budgeting process applied by management by comparing the current year forecast to the actual results. We also assessed the growth and discount rates against market and industry data; • By making use of our internal valuations expertise, we independently recalculated the recoverable amount; and • We assessed the adequacy of the company's disclosure about the assumptions to which the outcome of the impairment test is most sensitive, that is, those that have the most significant effect on the determination of the recoverable amount of the investments.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "African Media Entertainment Limited Annual Report 31 March 2023", which includes the Directors' Report, the Audit Committee's Report and the Company Secretary's Certificate as required by the Companies Act of South Africa. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and / or the company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the group and company financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and /or the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the group and company financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.



From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that BDO South Africa Incorporated has been the auditor of African Media Entertainment Limited for 15 years.

BDO SA INCORPORATED

BDO South Africa Incorporated
Registered Auditors

Vincent Ngobese
Director
Registered Auditor

20 July 2023

Wanderers Office Park
52 Corlett Drive
Illovo, 2196

STATEMENTS OF FINANCIAL POSITION

as at 31 March 2023

		Group		Company	
	Notes	2023 R'000	2022 R'000	2023 R'000	2022 R'000
ASSETS					
Non-current assets		183 372	179 081	183 366	181 160
Property, plant and equipment	3	118 456	119 560	744	404
Goodwill	4	36 997	36 997	–	–
Other intangible assets	5	–	–	–	–
Investment in subsidiaries	6	–	–	84 571	84 571
Loans to subsidiaries	6	–	–	74 401	78 535
Investment in associates	7	2 876	2 572	–	–
Other financial instruments	8	23 650	17 650	23 650	17 650
Deferred taxation	9	1 393	2 302	–	–
Current assets		154 937	151 682	37 287	53 773
Trade receivables	10	63 866	54 213	–	–
Other receivables	10	8 774	5 465	7 262	2 695
Taxation receivable		324	170	–	–
Cash and cash equivalents	11	81 973	91 834	30 025	51 078
Total assets		338 309	330 763	220 653	234 933
EQUITY AND LIABILITIES					
Total equity		260 889	264 495	211 662	227 601
Share capital	12	7 142	7 844	7 142	7 844
Share premium		–	3 846	–	3 846
Non-distributable reserve	13	6 382	1 678	12 029	7 325
Retained earnings		232 402	237 179	192 491	208 586
Equity attributable to equity holders of the company		245 926	250 547	211 662	227 601
Non-controlling interest holders	6	14 963	13 948	–	–
Non-current liabilities		7 530	5 634	1 450	149
Deferred taxation	9	7 278	5 634	1 198	149
Provisions	15	252	–	252	–
Current liabilities		69 890	60 634	7 541	7 183
Trade payables		18 421	21 078	93	713
Other payables	14	48 534	37 225	5 207	4 307
Dividend payable	27	2 197	2 041	2 197	2 041
Taxation		738	290	44	122
Total equity and liabilities		338 309	330 763	220 653	234 933

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

for the year ended 31 March 2023

		Group		Company	
	Notes	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Revenue	19	268 669	250 765	12 257	11 618
Dividends received from subsidiary companies		–	–	22 579	36 742
Cost of sales		(68 402)	(69 705)	–	–
Gross profit		200 267	181 060	34 836	48 360
Operating expenses	20	(154 019)	(141 250)	(16 981)	(15 147)
Operating profit		46 248	39 810	17 855	33 213
Investment income	22	4 118	1 537	3 118	1 037
Finance income	22	5 607	4 225	4 243	3 055
Equity accounted earnings from associates		304	301	–	–
Net profit before capital items		56 277	45 873	25 216	37 305
Impairment of investments and loans	21	–	–	–	(3 559)
Net profit before taxation		56 277	45 873	25 216	33 746
Taxation	23	(13 115)	(12 438)	68	(394)
Profit for the year		43 162	33 435	25 284	33 352
Other comprehensive income:					
Items that will not be reclassified subsequently to profit or loss:	13	4 704	(1 835)	4 704	(1 835)
Fair value gains/(losses) on fair value through other comprehensive income financial assets		6 000	(2 400)	6 000	(2 400)
Deferred tax relating to fair value adjustments		(1 296)	565	(1 296)	565
Total comprehensive income for the year		47 866	31 600	29 988	31 517
Profit/(loss) attributable to:					
Non-controlling interest holders		6 560	4 101	–	–
Equity holders of the parent		36 602	29 334	25 284	33 352
Total profit for the year		43 162	33 435	25 284	33 352
Total comprehensive income attributable to:					
Non-controlling interest holders		6 560	4 101	–	–
Equity holders of the parent		41 306	27 499	29 988	31 517
Total comprehensive income for the year		47 866	31 600	29 988	31 517
Basic and diluted earnings per share (cents)	24	485.5	372.2	–	–

STATEMENTS OF CHANGES IN EQUITY

for the year ended 31 March 2023

		Group		Company	
	Notes	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Issued capital	12	7 142	7 844	7 142	7 844
Balance at beginning of year		7 844	7 923	7 844	7 923
Shares repurchased and cancelled	12	(702)	(79)	(702)	(79)
Share premium		–	3 846	–	3 846
Balance at beginning of year		3 846	3 846	3 846	3 846
Shares repurchased and cancelled		(3 846)	–	(3 846)	–
Non-distributable reserve	13	6 382	1 678	12 029	7 325
Balance at beginning of year		1 678	3 513	7 325	9 160
Other comprehensive income		4 704	(1 835)	4 704	(1 835)
Retained earnings		232 402	237 179	192 491	208 586
Balance at beginning of year		237 179	224 933	208 586	191 949
Change in shareholding		–	(373)	–	–
Total profit for the year		36 602	29 334	25 284	33 352
Shares repurchased and cancelled		(18 045)	(2 453)	(18 045)	(2 453)
Dividend declared	27	(23 334)	(14 262)	(23 334)	(14 262)
Non-controlling interest holders	6	14 963	13 948	–	–
Balance at beginning of year		13 948	15 283	–	–
Change in shareholding		–	373	–	–
Share of total comprehensive income for the year		6 560	4 101	–	–
Share of dividend		(5 545)	(5 809)	–	–
Total equity		260 889	264 495	211 662	227 601

STATEMENTS OF CASH FLOWS

for the year ended 31 March 2023

	Notes	Group		Company	
		2023 R'000	2022 R'000	2023 R'000	2022 R'000
Cash flows from operating activities		43 526	44 703	20 074	32 881
Cash generated by operating activities	25	48 533	47 115	15 419	29 795
Interest received	22	5 607	4 225	4 243	3 055
Taxation (paid)/refunded	26	(11 563)	(9 973)	(257)	146
Changes in working capital		949	3 336	669	(115)
– Increase in trade receivables		(9 653)	(11 423)	–	–
– Decrease/ (increase) in other receivables		1 190	(2 746)	(67)	(863)
– Increase in trade and other receivables		(8 463)	(14 169)	(67)	(863)
– (Decrease)/increase in trade payables		(2 657)	7 088	(620)	667
– Increase in other payables		12 069	10 417	1 356	81
– Increase in trade and other payables		9 412	17 505	736	748
Cash flows utilised in investing activities		(2 071)	(2 631)	4 644	424
Repayments in investments and loans	28	–	900	1 981	510
Acquisition of subsidiary - net cash payment		–	(1 623)	–	–
Purchase of property, plant and equipment	3	(6 307)	(3 584)	(460)	(86)
Proceeds on disposal of property, plant and equipment		118	139	5	–
Dividends received	22	4 118	1 537	3 118	–
Cash flows from financing activities		(51 316)	(22 519)	(45 771)	(16 710)
Dividend paid to equity holders	27	(23 178)	(14 178)	(23 178)	(14 178)
Dividend paid to non-controlling interest holder		(5 545)	(5 809)	–	–
Repurchase of shares	12	(22 593)	(2 532)	(22 593)	(2 532)
Net (decrease)/increase in cash and cash equivalents		(9 861)	19 553	(21 053)	16 595
Cash and cash equivalents at beginning of year		91 834	72 281	51 078	34 483
Cash and cash equivalents at end of year	11	81 973	91 834	30 025	51 078



NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 March 2023

1. ACCOUNTING POLICIES

1.1 Basis of preparation

The financial statements are prepared in accordance with International Financial Reporting Standards ("IFRS"), the financial reporting pronouncements as issued by the Financial Reporting Standards Council, the Companies Act No. 71 of 2008, as amended, and the Listings Requirements of the Johannesburg Stock Exchange, on a basis consistent with the policies and methods of computation as used in the financial statements for the year ended 31 March 2022.

The financial statements are prepared under the historical cost convention except for certain other financial instruments that are measured at fair value.

The policies set out below have been consistently applied to all the periods presented.

1.2 Basis of consolidation

The consolidated financial statements incorporate the financial statements of the company, entities controlled by the company ("its subsidiaries") and entities over which the company exerts significant influence ("its associates"). Control is achieved when the company is exposed, or has rights to variable returns from its involvement with the entity and has the ability to affect these returns through its power over the entity.

The results of subsidiaries acquired or disposed of during the year are included in the consolidated statements of profit or loss and other comprehensive income, from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Non-controlling interest holders' interest in the net assets (excluding goodwill) of consolidated subsidiaries are identified separately from the group's equity therein. Non-controlling interest holders' interests consist of the amount of those interests at the date of the original business combination and the non-controlling interest holders' share of changes in equity since the date of the combination.

1.3 Business combinations

The acquisition method of accounting is used to account for the acquisition of subsidiaries by the group. Identifiable assets, liabilities and contingent liabilities acquired or assumed are initially measured at their respective fair values at acquisition date.

1.4 Significant judgements and estimation uncertainty

1.4.1 Key estimates and assumptions

Estimates and assumptions, an integral part of financial reporting, have an impact on the amounts reported with respect to the group's assets, liabilities, income and expenses. Judgement in these areas is based on historical experience and reasonable expectations relating to future events. Actual results may differ from these estimates. Information on the key estimates and uncertainties that have the most significant effect on amounts recognised are set out in the following notes to the financial statement:

- Accounting policies – note 1.5: Property, Plant and Equipment; 1.6: Goodwill; 1.11: Deferred taxation; 1.12.2: Impairment of receivables
- Property, plant and equipment – estimating impairment losses – note 3
- Goodwill – estimate of future cash flows and determination of the discount rate – note 4
- Deferred taxation – estimating future taxable profits – note 9
- Trade and other receivables – estimating expected credit losses – note 10

No significant judgements were made.

1.5 Property, plant and equipment

Property, plant and equipment is initially recorded at cost.

Depreciation is calculated on the straight-line method, to write off the cost of each asset to their residual values over their estimated useful lives. The depreciation rates applicable to each category of property, plant and equipment are as follows:

• Land	not depreciated
• Buildings	1.25%
• Electronic equipment	20% to 33%
• Motor vehicles	20% to 25%
• Office equipment	10% to 20%
• Leasehold improvements	shorter of useful life or the remaining period of the lease

The useful lives and residual values of property, plant and equipment are assessed annually and subsequently carried at cost less accumulated depreciation and impairment.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

1.6 Goodwill

Goodwill is initially measured as the excess of cost of the business combination over the group's interest of the fair value of the net identifiable assets, liabilities and contingent liabilities.

Subsequently goodwill is carried at cost less any accumulated impairment. Goodwill is tested on an annual basis, and whenever there is an indicator of impairment.

1.7 Other intangible assets

Initial recognition

Trademarks

Trademarks acquired in a business combination that qualify for separate recognition are recognised as intangible assets at their fair values.

Subsequent treatment

The useful life is assessed as indefinite as the trademarks are likely to independently yield future economic benefits over several media platforms for an indeterminate period. Trademarks are tested for impairment on an annual basis and whenever there is an indicator of impairment.

1.8 Investments in subsidiaries

In the company's separate financial statements, investments in subsidiaries are carried at cost less accumulated impairment.

The cost of an investment in a subsidiary is measured at the fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the company.

1.9 Investments in associates

Associates are entities over which the group has significant influence but no control, generally accompanying a shareholding between 20% and 50% of the voting right. Investments in associates are accounted for at cost less accumulated impairment losses in the company's separate financial statements. At group level these investments are initially measured at cost and subsequently using the equity method. The group's investments in associates include goodwill identified on acquisition (net of any accumulated impairment loss).

The group's share of the associates' post acquisition profits or losses is recognised in profit and loss and its share of post-acquisition movements in other comprehensive income is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. When the group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

1.10 Leases

Group as a lessee

The group primarily leases low value assets which comprise of office equipment and enters into leases for premises for 12 months or less. Therefore the group applies practical expedients for these leases as permitted by the standard, and accounts for leases with an initial lease term of less than 12 months as short-term leases which are expensed when incurred. In respect of low value lease assets, it recognises the lease payments as an operating expense on a straight line basis over the term of the lease.

1.11 Taxation

Current tax assets and liabilities

Current tax liabilities/(assets) for current and prior periods are measured at the amount expected to be paid to/(recovered from) the tax authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities

Deferred taxation is provided using a statement of financial position liability method on all temporary differences between the carrying amounts, for financial reporting purposes, and the amounts used for taxation purposes, except for differences relating to goodwill which are not deductible for taxation purposes and the initial recognition of assets or liabilities in a transaction, other than a business combination that, at the time of the transaction, affects neither accounting nor taxable profit or loss.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the associated unused tax losses and deductible temporary differences can be utilised.

1.12 Financial instruments

The group classifies financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

Financial assets and financial liabilities are recognised when the group becomes party to the contractual provisions of the instrument.

1.12.1 Financial assets

The group classifies its financial assets into one of the categories as per below, based on the business model for holding the financial asset and its cash flow characteristics. The group's accounting policy for each category is as follows:

Amortised cost

These assets principally arise due to trade and other receivables derived from rendering of services to customers and related party loans where the objective is to hold these assets in order to collect contractual cash flows and the contractual cash flows that are solely payments of principal and interest.

Financial assets are initially measured at fair value plus transaction cost and are subsequently carried at amortised cost using the effective interest rate method, less provision for impairment.

Cash and cash equivalents comprise cash on hand and demand deposits and are measured at amortised cost.

Fair value through other comprehensive income

The group has investments in listed and unlisted entities which are not accounted for as subsidiaries, associates or jointly controlled entities. For those investments, the group has made an irrevocable election to classify the investments at fair value through other comprehensive income rather than through profit or loss as the group considers this measurement to be the most representative of the business model for these assets. They are carried at fair value with changes in fair value recognised in other comprehensive income and accumulated in the fair value through other comprehensive income reserve. Upon disposal of the investment, any balance within fair value through other comprehensive income reserve is reclassified directly to retained earnings and is not reclassified to profit or loss.

1.12.2 Impairment of financial instruments

Trade receivables

The group makes use of a simplified approach in accounting for trade receivables. Therefore the group does not evaluate changes in credit risk, but instead records the loss allowance as lifetime expected credit losses. These are the expected shortfalls in contractual cash flows, considering the potential for default (where default is defined as occurring when amounts are 90 days past due) at any point during the life of the financial instrument. In calculating, the group uses its historical experience, external indicators and forward-looking information to calculate the expected credit losses using a provision matrix. Forward looking information considered are detailed in note 10 on Trade and other receivables.

The group assesses impairment of trade receivables on a collective basis as they possess shared credit risk characteristics they have been grouped based on the days past due. Trade receivables are reported net of expected credit loss allowances and are recorded in a separate expected credit loss allowance account with the loss being recognised in profit or loss. If the expected credit loss allowance is material, the allowance is disclosed separately in the consolidated statement of comprehensive income.

Other receivables, related party loans and preference share financial assets

In respect of other receivables, related party loans and preference share financial assets are measured at amortised cost and fair value through other comprehensive income, the group applied the general approach in computing the expected credit loss allowances to be recognised. The group considers a broader range of information when assessing credit risk and measuring expected credit losses, including past events, current conditions, reasonable and supportable forecasts that affect the expected collectability of the future cash flows of the instrument.

In applying this forward-looking approach, a distinction is made between:

- financial instruments that have not deteriorated significantly in credit quality since initial recognition or that have low credit risk ("Stage 1");
- financial instruments that have deteriorated significantly in credit quality since initial recognition and whose credit risk is not low ("Stage 2"); and
- "Stage 3" would cover financial assets that have objective evidence of impairment at the reporting date.

12-month expected credit losses' along with gross interest income are recognised for the first category while 'lifetime expected credit losses' along with gross interest income are recognised for the second category. For the third category 'lifetime expected credit losses' along with net interest income are recognised. Measurement of the expected credit losses is determined by a probability-weighted estimate of credit losses over the expected life of the financial instrument.

Credit risk is considered to have increased significantly if it is assessed that the borrower's cash flow and its liquid asset position has significantly deteriorated. The risk that the borrower will default on an on demand loan depends on whether the subsidiary has sufficient cash or other liquid assets to repay the loan immediately, i.e. risk of default is very low, possibly close to 0% or it will not, i.e. risk of default is very high, possibly close to 100%.

Regardless of the way in which the group assesses significant increases in credit risk, there is a rebuttable presumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due. This presumption may be rebutted if there is reasonable and supportable information that is available without undue cost or effort, that demonstrates that the credit risk has not increased significantly since initial recognition even though the contractual payments are more than 30 days past due. When it is determined that there have been significant increases in credit risk before contractual payments are more than 30 days past due, the rebuttable presumption does not apply.

Loans are considered to be credit impaired if it meets the definition of a defaulted loan. Risk of default with respect to related party interest-free, on demand loans considered to be in default when there is evidence that the borrower is in significant financial difficulty such that it will have insufficient funds to repay the loan on demand. This is assessed based on the number of factors including various liquidity and solvency ratios.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

Significant increase in credit risk

In assessing whether the credit risk on a loan has increased significantly since initial recognition, the company compares the risk of a default occurring on the loan as at the reporting date with the risk of a default occurring as at the date of initial recognition. The company considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. The company regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increases in credit risk before the amount becomes past due.

Definition of default

For purposes of internal credit risk management purposes, the company considers that a default event has occurred if internal or external information indicates that the counterparty is unlikely to pay its creditors in full (without taking collateral into account).

1.12.3 Write-off policy

Trade receivables are considered to be uncollectable should the party be in default and there is information indicating that the party is in severe financial difficulty and there is no realistic prospect of recovery, i.e. when the party has been placed under liquidation or the business rescue plan has failed.

Receivables that have been written off may still be subject to group recovery procedures which includes taking legal action if the cost of the recovery is expected to be less than the fair value of the receivable. All recoveries are recognised in profit or loss.

On confirmation that the trade receivable will not be collectable, the gross carrying value of the asset is written off against the associated expected credit loss allowance.

Loans to subsidiaries or associates are written off once the investment in the respective subsidiary or associate is disposed of and it is agreed upon by all parties that the loan is to be written off. Loans to third parties are written off if recovery is considered to be highly unlikely.

1.12.4 Financial liabilities

Trade payables and other short-term monetary liabilities, which are initially recognised at fair value and subsequently carried at amortised cost using the effective interest method.

1.13 Impairment of non-financial assets

Impairment of non-financial assets (except goodwill and trademark)

Non-financial assets are assessed at each reporting date whether there is any indication that objective evidence exists that might indicate that an asset or group of assets are impaired. If there is any indication that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is not possible to estimate the recoverable amount of the individual asset, the recoverable amount of the cash-generating unit to which the asset belongs is determined. The recoverable amount of an asset or a cash-generating unit is the higher of its fair value, less costs to sell and its value in use.

Fair value is determined by the amount obtainable from the sale of an asset or cash-generating unit in an arm's length transaction between knowledgeable, willing parties less costs of disposal. Value in use is determined by projections of the future cash flows expected to be generated by the assets, taking into account market conditions and the expected useful lives of the assets. The present value of these cash flows is determined using an appropriate discount rate.

If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. That reduction is an impairment loss.

An impairment loss of assets carried at cost less any accumulated depreciation or amortisation is recognised immediately in the statement of profit or loss and other comprehensive income.

The group assesses at each reporting date whether there is any indication that an impairment loss recognised in prior periods for assets may no longer exist or may have decreased.

The increased carrying amount of an asset attributable to a reversal of an impairment loss does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior periods. A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortisation, other than goodwill, is recognised immediately in the statement of profit or loss and other comprehensive income.

Impairment of goodwill and trademarks

Goodwill acquired in a business combination is allocated from the acquisition date to each of the cash generating units that are expected to benefit from the synergies of the combination.

Goodwill and trademarks are tested annually for impairment or whenever there is an indicator.

The recoverable amount of the cash-generating unit is determined and is the higher of its fair value, less costs to sell and its value in use.

An impairment loss is recognised for cash-generating units if the recoverable amount of the unit is less than the carrying amount of the units.

The impairment loss is allocated to reduce the carrying amount of the assets of the unit in the following order:

- first, to reduce the carrying amount of any goodwill allocated to the cash-generating unit; and then
- to the other assets of the unit, *pro rata* on the basis of the carrying amount of each asset in the unit.

1.14 Share capital

The group's ordinary shares are classified as equity instruments.

1.15 Employee benefits

Short-term employee benefit costs

The cost of short-term employee benefits, (those payable within 12 months after the service is rendered, such as paid annual leave and sick leave, bonuses, and non-monetary benefits such as medical care), are recognised in the period in which the service is rendered and are not discounted.

The expected cost of compensated absences is recognised as an expense as the employees render services that increase their entitlement or, in the case of non-accumulating absences, when absence occurs.

The expected cost of profit-sharing and bonus payments is recognised as an expense when there is a legal or constructive obligation to make such payments as a result of past performance.

Defined contribution plans

Payments to defined contribution retirement benefit plans are charged as an expense as they fall due.

1.16 Long-term bonus incentive scheme

A long-term bonus incentive scheme has been implemented the payment of which is dependent on the performance of the group. The provision is measured using headline earnings per share within specific parameters.

The estimated value of the long-term bonus incentive scheme are recognised as the services are received, with a corresponding liability when the cost is recognised.

The bonus is measured at the fair value of the liability. Until the liability is settled, the fair value of the liability is re-measured at each reporting date and at the date of settlement, with any changes in fair value recognised in the statement of comprehensive income for the period.

If the bonus incentive granted do not vest until the counterparty completes a specified period of service, the company accounts for those services as they are rendered by the counterparty during the vesting period, or on a straight-line basis over the vesting period.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

1.17 Revenue recognition

Performance obligations and timing of revenue recognition

Revenue is mainly derived from sales of airtime and is recognised over a period of time in which advertising material is broadcasted.

Revenue from radio broadcasting, media services and management fees are recognised over a period of time in which the services are delivered.

Determining the transaction price

Airtime sales prices are determined by a fixed price per period of time booked on the respective radio station therefore revenue earned from the sale of airtime is determined by reference to those fixed prices.

Revenue from management fees are determined by agreement between the parties of a fixed monthly amount for administration and other services.

Allocating amounts to performance obligations

Contracts with customers involving radio broadcasting and media services stipulate a fixed price per service rendered with discounts provided on a discretionary basis.

Practical exemptions

The group has taken advantage of the practical exemptions such as:

- not to account for significant financing components where the time difference between receiving consideration and transferring control of services to its customers is one year or less.

Payment terms

Customers are granted 30- to 45- day payment terms.

1.18 Cost of sales

Cost of sales refers to direct costs attributable to the services rendering in the process of generating revenue.

1.19 Borrowing cost

Borrowing costs are recognised as an expense in the period in which they are incurred.

1.20 Segmental reporting

Operating segments are identified with reference to their contribution to group profitability which is predominantly determined by the revenue streams in which the radio stations operate. Inter-segmental transactions are eliminated and the chief operating decision-maker is executive management.

Segments are divided into:

- Radio broadcasting, consisting of radio stations within the group;
- Media services, handling publications and media integration; and
- Corporate, responsible for the investments and managing of the group.

2. NEW OR REVISED STATEMENTS AND INTERPRETATIONS

2.1 Standards and interpretations effective and adopted in the current year

The group has adopted the following amendments to standards and interpretations that are effective for the current financial year and that are relevant to its operations:

Amendments to IAS 16: Property, plant and equipment

The amendments prohibit a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related cost in profit or loss.

Amendments to IAS 37: Provisions, contingent liabilities and contingent assets

The amendment clarifies the costs which should be included in the cost of fulfilling a contract and further stipulates that before a separate onerous contract is established, an impairment loss should be recognised on the assets used in fulfilling the contract.

Amendments to IFRS 3: Business combinations

As a result of the post-implementation review of IFRS 3, these amendments modify the definition of a business. These changes will result in fewer acquisitions being accounted for as a business combination within the scope of IFRS 3. The amendments also introduce an optional 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is a business. The amendments will have no impact on the group's or company's financial statements for the current financial year

2.2 Statements and interpretations issued; not yet effective

At the date of the authorisation of these financial statements, the following Standards and Interpretations were in issue, but not yet effective

Standard	Details of amendment	Effective from
<i>Classification of Liabilities as Current or Non-Current (Amendments to IAS 1)</i>	The amendments aim to promote consistency in applying the requirements by helping companies determine whether, in the statement of financial position, debt and other liabilities with an uncertain settlement date should be classified as current (due or potentially due to be settled within one year) or non-current.	1 April 2023
<i>Disclosure of Accounting Policies (Amendments to IAS 1)</i>	The amendments require companies to disclose their material accounting policy information rather than their significant accounting policies, with additional guidance added to the Standard to explain how an entity can identify material accounting policy information with examples of when accounting policy information is likely to be material.	1 April 2023
<i>IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors</i>	Definition of Accounting Estimates: The amendments clarify how companies should distinguish changes in accounting policies from changes in accounting estimates, by replacing the definition of a change in accounting estimates with a new definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The requirements for recognising the effect of change in accounting prospectively remain unchanged.	1 April 2023
<i>IAS 12 Income Taxes</i>	Deferred Tax related to Assets and Liabilities arising from a Single Transaction: The amendment clarifies how a company accounts for income tax, including deferred tax, which represents tax payable or recoverable in the future. In specified circumstances, companies are exempt from recognising deferred tax when they recognise assets or liabilities for the first time. The aim of the amendments is to reduce diversity in the reporting of deferred tax on leases and decommissioning obligations, by clarifying when the exemption from recognising deferred tax would apply to the initial recognition of such items.	1 April 2023

The directors anticipate that the adoption of these standards and interpretations in future periods will have no monetary impact on the financial statements of the group. Additional disclosures will be required.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

3. PROPERTY, PLANT AND EQUIPMENT

	Electronic equipment R'000	Office equipment R'000	Motor vehicles R'000	Freehold land and buildings R'000	Total R'000
GROUP					
Year ended 31 March 2023					
Opening net book value	13 726	6 941	1 253	97 640	119 560
Additions	3 730	1 292	565	720	6 307
Depreciation	(5 051)	(1 246)	(491)	(607)	(7 395)
Disposals	(16)	–	–	–	(16)
Closing net book value	12 389	6 987	1 327	97 753	118 456
At 31 March 2023					
Cost	42 100	17 076	5 987	101 193	166 356
Accumulated depreciation	(29 711)	(10 089)	(4 660)	(3 440)	(47 900)
Net book value	12 389	6 987	1 327	97 753	118 456
Year ended 31 March 2022					
Opening net book value	14 793	8 438	2 156	93 734	119 121
Additions	3 155	320	–	109	3 584
Additions – business combination	–	–	–	4 300	4 300
Depreciation	(4 171)	(1 788)	(903)	(503)	(7 365)
Disposals/transfers	(51)	(29)	–	–	(80)
Closing net book value	13 726	6 941	1 253	97 640	119 560
At 31 March 2022					
Cost	38 634	15 714	5 422	100 473	160 243
Accumulated depreciation	(24 908)	(8 773)	(4 169)	(2 833)	(40 683)
Net book value	13 726	6 941	1 253	97 640	119 560
COMPANY					
Year ended 31 March 2023					
Opening net book value	–	82	322	–	404
Additions	420	40	–	–	460
Depreciation	–	(45)	(72)	–	(117)
Disposals/transfers	–	(3)	–	–	(3)
Closing net book value	420	74	250	–	744
At 31 March 2023					
Cost	420	298	514	–	1 233
Accumulated depreciation	–	(224)	(264)	–	(489)
Net book value	420	74	250	–	744
Year ended 31 March 2022					
Opening net book value	–	28	394	–	422
Additions	–	86	–	–	86
Depreciation	–	(32)	(72)	–	(104)
Closing net book value	–	82	322	–	404
At 31 March 2022					
Cost	–	279	514	–	793
Accumulated depreciation	–	(197)	(192)	–	(389)
Net book value	–	82	322	–	404

3. PROPERTY, PLANT AND EQUIPMENT CONTINUED

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Freehold land and buildings consist of:				
Johannesburg				
Remaining extent of Erf 1946 Houghton Estate	8 900	8 900	–	–
Portion 1 of Erf 1946 Houghton Estate	4 300	4 300	–	–
Portion 2 of Erf 1946 Houghton Estate	4 304	4 304	–	–
Erf 1947 Houghton Estate	6 278	6 278	–	–
Bloemfontein				
Erf 2692 Sunny Ridge Part 1	1 650	1 650	–	–
Erf 30374 Ext 213 Wild Olive Estate	35 238	35 238	–	–
Gqeberha				
ERF 83 South End and remaining extent of Erf 84 South End	35 296	35 296	–	–
	95 966	95 966	–	–

Asset lives and residual values

Property, plant and equipment is depreciated over its useful life taking into account residual values, where appropriate. The actual lives of the assets and residual values are assessed at each reporting date and may vary depending on a number of factors. In re-assessing asset lives, factors such as technological innovation and maintenance programmes are taken into account. Residual value assessments consider issues such as market conditions, the remaining life of the asset and projected disposal values.

Freehold buildings have not been depreciated as their estimated residual value at the reporting date exceeds their carrying value, based on current market information.

Impairment of assets

Based on the assessment, it was determined that no impairment was required in the current or the prior year.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

4. GOODWILL

The carrying amount of goodwill is allocated to the cash-generating units (CGUs) as follows:

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Cost <i>less</i> accumulated impairment				
Umoya Communications Proprietary Limited	20 309	20 309	–	–
Central Media Group Proprietary Limited	16 605	16 605	–	–
Oxford Office Terrace Proprietary Limited	83	83	–	–
Carrying value at end of year	36 997	36 997	–	–
The movements in the net carrying amount of goodwill are as follows:				
Balance as at beginning of the year	36 997	36 914	–	–
Acquired through business combination	–	83	–	–
Balance as at end of the year	36 997	36 997	–	–

Impairment testing

For the purpose of annual impairment testing, goodwill is compared to the recoverable amount of each subsidiary to which goodwill relates. The recoverable amount of each subsidiary is determined based on a discounted future cash flow model. Operating cash flows for the relevant business units were projected for a five-year period based on expected and forecasted revenue growth for each subsidiary.

The present value of the expected cash flows were determined by applying a suitable discount rate reflecting current market assessments of the time value of money and risks specific to the individual subsidiary.

The table below reflects growth rates applied as per the terminal growth rates and the estimated fair value less cost to sell of the goodwill:

Impairment testing

	Discount rate	Terminal growth rates	Fair value	Headroom exceeding carrying amount
2023				
Umoya Communications Proprietary Limited	26.8%	4.5%	98 209	77 900
Central Media Group Proprietary Limited	26.6%	4.5%	82 444	65 839

In respect of the goodwill assessment performed in 2023 for Umoya Communications and Central Media Group, there was no indicator of the impairment of goodwill. Should the discount rate differ by 1%, the value of the goodwill changes by 6%. Should the terminal growth rate differ by 1%, the value of the goodwill changes by 4%.

2022

Umoya Communications Proprietary Limited	23%	4%	95 693	75 384
Central Media Group Proprietary Limited	25%	4%	83 304	66 699
Oxford Office Terrace Proprietary Limited	15%	5%	367	284

In 2022, the recoverable amount of both Umoya Communications and Central Media Group were assessed and there was no indicator of the impairment of goodwill. Should the above variables differ by 1% the value of the goodwill changes by between 13% and 14%.

5. OTHER INTANGIBLE ASSETS

Details of the group's other intangible assets and their carrying amounts are as follows:

	Group	
	2023	2022
	R'000	R'000
Balance as at beginning of the year: Moneyweb trademark	–	–
Impairment of Moneyweb trademark	–	–
Balance as at end of the year	–	–
Cost	2 000	2 000
Accumulated Impairment	(2 000)	(2 000)
Balance as at end of the year	–	–

The trademark remained fully impaired by R2 million in the current year (2022: R2 million).

The impairment test performed on trademarks in current year applied a pre-tax discount rate of 21.2% (2022: 19.3%) and a terminal growth rate of 4.5% (2022: 6%) which indicated that the trademark remained fully impaired.

6. INVESTMENT IN SUBSIDIARIES

	Company	
	2023	2022
	R'000	R'000
Investments		
United Stations Proprietary Limited		
– 100 shares representing a 100% holding	4 550	4 550
– Loan (regarded as part of the net investment)	4 620	4 620
AME Properties Proprietary Limited		
– 10 shares representing a 100% holding*	–	–
Oxford Office Terrace Proprietary Limited		
– 50 shares representing a 50% holding (Effective 100%)	2 005	2 005
Central Media Group Proprietary Limited (t/a OFM)		
– 77 520 shares representing a 73.77% holding	28 968	28 968
Umoya Communications Proprietary Limited (t/a Algoa FM)		
– 1 000 shares representing an 80% holding	23 683	23 683
MediaHeads 360 Proprietary Limited		
– 490 shares representing a 49% holding* (Effective 61.5%)	–	–
Moneyweb Holdings Proprietary Limited		
– 105 574 604 shares representing a 100% holding	26 327	26 327
Algoa FM Radio Empowerment Company Proprietary Limited		
– 16 Cumulative redeemable preference shares of no par value	25 522	25 522
	115 675	115 675
Impairment of investments in subsidiaries		
Moneyweb Holdings Proprietary Limited	(26 327)	(26 327)
Algoa FM Radio Empowerment Company Proprietary Limited	(4 777)	(4 777)
	(31 104)	(31 104)
Net carrying amount of investments	84 571	84 571

* less than R1 000

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

6. INVESTMENT IN SUBSIDIARIES CONTINUED

	Company 2023 R'000	2022 R'000
Loan to/(from) subsidiaries		
AME Properties Proprietary Limited	70 747	74 247
Radio Heads Investment Holdings Proprietary Limited	–	58
MediaHeads 360 Proprietary Limited	4 500	7 809
Moneyweb Proprietary Limited	7 570	2 745
Moneyweb Holdings Proprietary Limited	(21)	(21)
	82 796	84 838
Expected credit loss allowance on loans		
Radio Heads Investment Holdings Proprietary Limited	–	(58)
MediaHeads 360 Proprietary Limited	(825)	(3 500)
Moneyweb Proprietary Limited	(7 570)	(2 745)
	(8 395)	(6 303)
Net carrying amount of loans	74 401	78 535
Reconciliation of expected credit loss allowance on loans		
Balance as at beginning of year	(6 303)	(5 507)
Impairment raised	(4 825)	(796)
Impairment reversed	2 733	–
Closing balance at end of year	(8 395)	(6 303)

All subsidiaries have the year-end of the company and are incorporated in South Africa.

Investment in subsidiaries

The loan to United Stations is regarded as part of the net investment in the subsidiary since there is currently no intention for AME to request repayment of the loan. The loan has not been repaid or settled, however, the subsidiary is able to settle the loan in full. Therefore no allowance for credit losses was raised.

The company owns 50% of the shareholding in Oxford Office Terrace Proprietary Limited. Since the other 50% shareholding in Oxford Office Terrace is held by AME Properties, the group effectively holds 100% of Oxford Office Terrace.

The redeemable preference shares held by the company in Algoa FM Radio Empowerment company is derived from a 20% investment that Algoa FM Radio Empowerment company has in Umoya Communications.

Investment was valued based on discounted cash flow models. The discount rates applied was 26.8% (2022: 23%) and the terminal growth rates applied were 4.5% (2022: 4%). A marketability discount of 10.1% (2022: 7.6%) and a minority discount of 17.4% (2022: 17.4%) were considered in determining the value.

Should the discount rate and terminal growth rate variables differ by 1%, the value of the investment will change by between (8%) and 10%.

There are no indicators of a reversal of the impairment of the investment in Moneyweb Holdings Proprietary Limited or Algoa FM Radio Empowerment Company Proprietary Limited.

There are no indicators of impairments of the other investments.

Loans to subsidiaries

All loans to subsidiaries whether it is part of the net investment in the subsidiary or is separately recognised are interest free, with no fixed terms of repayment and are on demand loans except for the MediaHeads 360 loan which carries interest at prime less 1% per annum. Management has no intention to call on these loans within the next 12 months.

In the current year, the loan to AME Properties has been assessed in terms of the probability recovery scenarios and there is no expected credit loss since it remains categorised under Stage 1. The probability recovery scenario is based on the value of the property portfolio and since the loan balance is less than the value of the property portfolio, the loan is considered to be fully recoverable.

6. INVESTMENT IN SUBSIDIARIES CONTINUED

The loan to MediaHeads 360 Proprietary Limited remains categorised under Stage 1. During the year a significant portion of the loan has been repaid and based on recovery scenarios considered for the MediaHeads 360 loan which involved three scenarios of partial repayment at varying probabilities based on the estimated likelihood of repayment, only R825 000 (2022: R3.5 million) expected credit loss allowance has been raised.

Moneyweb Proprietary Limited continued to face financial difficulties during the year, therefore the loan is categorised under Stage 3 since the loan is in default at the end of the reporting period. Therefore the lifetime expected credit losses were measured based on the probability recovery scenarios which indicated an expected credit loss of the loan provided to Moneyweb. An expected credit loss of R7.57 million was recognised in the current year (2022: R2.7 million).

Subsidiary with material non-controlling interest

The group includes subsidiaries with material non-controlling interests (NCI).

Subsidiary	Proportion of ownership interest and voting rights held by the NCI		Total comprehensive income allocated to the NCI		Accumulated NCI	
	2023 %	2022 %	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Central Media Group Proprietary Limited (t/a OFM)	26.2	26.2	4 276	3 334	4 628	4 549
Algoa FM Radio Empowerment Company Proprietary Limited	51.0	51.0	224	563	6 830	6 830

Dividends were paid to Central Media Group Proprietary Limited (t/a OFM) and Algoa FM Radio Empowerment Company Proprietary Limited NCI in both 2023 and 2022.

Summarised financial information for Central Media Group Proprietary Limited (t/a OFM) before intragroup eliminations

	Company 2023 R'000	2022 R'000
Non-current assets	18 088	24 570
Current assets	17 921	19 911
Total assets	36 009	44 481
Non-current liabilities	8 698	13 152
Current liabilities	12 590	13 988
Total liabilities	21 288	27 140
Equity attributable to owners of the parent	10 093	12 792
Non-controlling interest	4 628	4 549
Total equity	14 721	17 341
Revenue	93 769	90 807
Profit for the year attributable to owners of the parent	12 675	9 375
Profit for the year attributable to NCI	4 276	3 334
Total comprehensive income for the year	16 951	12 709
Dividend paid to NCI	4 197	5 246
Net cash from operating activities	2 676	20 168
Net cash used in investing activities	(263)	161
Net cash from financing activities	(4 953)	(24 586)
Net cash outflow	(2 540)	(4 257)

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

6. INVESTMENT IN SUBSIDIARIES CONTINUED

Summarised financial information for Algoa FM Radio Empowerment Company Proprietary Limited before intragroup eliminations

	Company	
	2023	2022
	R'000	R'000
Non-current assets	22 500	20 745
Current assets	–	–
Total assets	22 500	20 745
Non-current liabilities	25 522	25 522
Current liabilities	–	–
Total liabilities	25 522	25 522
Equity attributable to owners of the parent	(9 852)	(11 607)
Non controlling interest [#]	6 830	6 830
Total equity[#]	(3 022)	(4 777)
Revenue	–	–
Profit for the year attributable to owners of the parent	216	540
Profit for the year attributable to NCI	224	563
Total comprehensive income for the year	440	1 103
Dividend paid to NCI	224	563

[#] The non-current asset relates to the investment in Umoya Communications Proprietary Limited, which is an underlying subsidiary of the group. Therefore fair value adjustments on the investment are reversed on consolidation, results in a net asset value of R13.4 million.

The non-controlling interest reflects the carrying amount which represents dividends declared by Umoya Communications to Algoa FM Radio Empowerment Company, which have yet to be on declared to the non-controlling interest holder.

7. INVESTMENT IN ASSOCIATES

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Mahareng Publishing Proprietary Limited				
– 500 shares representing a 50% holding	1	1	–	–
Share of post acquisition profit	2 875	2 571	–	–
Radio Heads Investment Holdings Proprietary Limited				
– 1 share representing a 0.1% holding* (Effective 24.6%)	–	–	–	–
Share of post-acquisition profit	–	–	–	–
Net carrying amount of investments	2 876	2 572	–	–
Loans to/(from) associates				
Radio Heads Investment Holdings Proprietary Limited				
– Loan	59	–	–	–
Expected credit loss allowance on loans				
Radio Heads Investment Holdings Proprietary Limited	(59)	–	–	–
Net carrying amount of loans	–	–	–	–
The balance comprises:				
Carrying value of shareholding and loans	1	1	–	–
Share of post-acquisition profits	2 875	2 571	–	–
	2 876	2 572	–	–
Mahareng Publishing				
Mahareng Publishing has a March financial year end.				
Summary of the financial information:				
Total assets	7 151	6 460	–	–
Total liabilities	(1 400)	(1 316)	–	–
Total net assets	5 751	5 144	–	–
Total net profit before tax for the year	2 607	3 719	–	–
Reconciliation of the carrying amounts of the investment				
Total net assets	5 751	5 144	–	–
Proportion of ownership interest held by the group (%)	50%	50%	–	–
Radio Heads Investment Holdings				
Radio Heads Investment Holdings has a March financial year end.				
Summary of the financial information:				
Total assets	59	–	–	–
Total liabilities	(59)	–	–	–
Total net assets	–	–	–	–
Total net loss before tax for the year	(1)	–	–	–
Reconciliation of the carrying amounts of the investment				
Total net assets	–	–	–	–
Proportion of ownership interest held by the group (%)	24.6%	24.6%	–	–
	2 876	2 572	–	–

* less than R1 000

The group, through its voting rights, only exercises significant influence over these entities and not joint control. Mahareng Publishing is a publishing house for a newspaper and an extension of the group's media coverage activities.

Radio Heads Investment Holdings is an investment company and a major shareholder of MediaHeads 360 Proprietary Limited.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

8. OTHER FINANCIAL INSTRUMENTS

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
MH360 Fusion Proprietary Limited (previously Chestnut Hill Investments 265 Proprietary Limited)				
– 1 247 cumulative redeemable preference shares	1 247	1 247	1 247	1 247
– expected credit loss	(1 247)	(1 247)	(1 247)	(1 247)
Before The Wind Investments 160 Proprietary Limited				
– 1 300 cumulative redeemable preference shares	1 300	1 300	1 300	1 300
– expected credit loss	(1 300)	(1 300)	(1 300)	(1 300)
FEC Investments Proprietary Limited at amortised cost				
– 10 preference shares of no par value#	5 000	5 000	5 000	5 000
Other financial instruments at amortised cost	5 000	5 000	5 000	5 000
At fair value through other comprehensive income				
MH360 Fusion Proprietary limited				
– 500 ordinary shares at cost*	–	–	–	–
– Fair value adjustment*	–	–	–	–
Mokgosi Holdings Proprietary Limited at fair value through OCI				
– 10 “B” ordinary shares at cost	9 200	9 200	9 200	9 200
– Fair value adjustment	3 450	3 450	3 450	3 450
Moneyweb Holdings Proprietary Limited				
– 1 000 000 ordinary shares at cost	–	–	680	680
– Fair value adjustment	–	–	(680)	(680)
Tysflo Proprietary Limited at fair value through OCI				
– 1 700 shares at fair value representing a 17% holding	1 807	1 807	–	–
– Fair value adjustment	(1 807)	(1 807)	–	–
Hot 1027 Proprietary Limited (Previously Classic FM South Africa Proprietary Limited)				
– 4 544 429 shares representing 19.9% shareholding	27 835	27 835	27 835	27 835
– Fair value adjustment	(21 835)	(27 835)	(21 835)	(27 835)
Other financial instruments at fair value through other comprehensive income	18 650	12 650	18 650	12 650
	23 650	17 650	23 650	17 650

* less than R1 000

IFRS 9 was considered and no expected credit loss was recognised as it was considered to be immaterial due to no factors negatively impacting the investments

8. OTHER FINANCIAL INSTRUMENTS CONTINUED

Level 1: Quoted prices available in active markets for identical assets or liabilities

Fair value of these securities have been estimated by reference to quoted prices in active markets at the reporting date and is categorised within level 1 of the fair value hierarchy.

Level 2: Inputs used, other than quoted prices, included within level 1 that are observable for the asset or liability, either directly or indirectly

The fair value is estimated using market prices of the underlying securities. There is an active market for these securities at reporting date and is categorised within level 2 of the fair value hierarchy.

Level 3: Fair value determined by valuation that uses inputs that are not based on observable market data

All unlisted securities are denominated in Rands.

Effective 1 May 2021, upon receipt by Hot 1027 (previously Classic FM South Africa) of the new licence terms as approved by ICASA, all conditions precedent to the sale of share agreement were met and R22.8 million of the loan balance was converted into equity. Therefore, the investment cost increased in the prior year to R27.8 million.

The Hot 1027 Proprietary Limited investment was valued based on the discounted cash flow model.

The discount rate used was 20% (2022: 18.7%) and the terminal growth rate applied was 4.5% (2022: 4%). A marketability discount of 15.3% (2022: 16.5%) and a minority discount of 16.9% (2022: 17.4%) were also considered in determining the value. This resulted in a fair value in the current year of R7.4 million (2022: Rnil). Should the discount rate and terminal growth rate variables differ by 1%, the value of the investment will change by between (12%) and 15%.

The Mokgosi Holdings Proprietary Limited investment was valued based on discounted cash flow models. The discount rate used was 19.4% (2022: 17.7%) and the terminal growth rates applied were 4.5% (2022: 4%). A marketability discount of 15.3% (2022: 16.5%) and a minority discount of 16.9% (2022: 17.4%) were considered in determining the value. Should the discount rate and terminal growth rate variables differ by 1%, the value of the investment will change by between (9%) and 11% (2022: between 10% and 12%).

The investments in MH360 Fusion Proprietary Limited and Before The Wind Investments 160 Proprietary Limited continue to remain credit impaired.

After consideration of the expected credit loss on the investments in Moneyweb Holdings Proprietary Limited and Tysflo Proprietary Limited, it remained at a fair value of Rnil at the end of the financial year.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

8. OTHER FINANCIAL INSTRUMENTS CONTINUED

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Level 1	–	–	–	–
Level 2	–	–	–	–
Level 3	18 650	12 650	18 650	12 650
	18 650	12 650	18 650	12 650

Reconciliation of fair value measurements categorised within level 3 of the fair value hierarchy

Fair value measurements using significant unobservable inputs (Level 3)

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Opening balance	12 650	15 050	12 650	15 050
Total gains or losses for the year				
– fair value adjustments included in other comprehensive income	6 000	(2 400)	6 000	(2 400)
	18 650	12 650	18 650	12 650

9. DEFERRED TAXATION

Deferred taxes arising from temporary differences and unused tax losses are summarised as follows:

	Group		Company	
	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Balance at beginning of year	(3 332)	(1 745)	(149)	(796)
Movements during the year attributable to:				
– Temporary differences	(2 553)	(1 027)	(1 049)	647
Accrual for leave pay	(140)	(127)	(16)	16
Income received in advance	226	283	–	–
S24 C allowance	(56)	(148)	–	–
Prepaid expenditure	(52)	(95)	12	(4)
Accelerated capital allowances	562	(1 846)	–	–
Accruals – other	156	(255)	–	–
Accruals for incentives and commission	(1 428)	2 214	183	70
Provisions	489	–	68	–
Allowance for credit losses	45	(48)	–	–
Fair value adjustment on investment	(2 534)	565	(1 296)	565
Tax losses	179	(1 589)	–	–
Rate change for fair value adjustment on property	–	19	–	–
Fair value adjustment on property acquired on business combination	–	(560)	–	–
Balance at end of year	(5 885)	(3 332)	(1 198)	(149)
Deferred tax assets	1 393	2 302	–	–
Deferred tax liabilities	(7 278)	(5 634)	(1 198)	(149)
Balance at end of year	(5 885)	(3 332)	(1 198)	(149)
<i>The balance comprises:</i>				
Accrual for leave pay	977	1 117	82	98
Income received in advance	794	568	–	–
S24 C allowance	(204)	(148)	–	–
Prepaid expenditure	(383)	(331)	(3)	(15)
Accelerated capital allowances	(7 261)	(7 823)	–	–
Accruals – other	229	73	–	–
Accruals for incentives and commission	1 687	3 115	696	513
Provisions	489	–	68	–
Allowance for credit losses	228	183	–	–
Fair value adjustment on investment	(3 820)	(726)	(2 041)	(745)
Computed tax losses	1 379	1 200	–	–
Fair value adjustment on property acquired on business combination	–	(560)	–	–
	(5 885)	(3 332)	(1 198)	(149)



NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

9. DEFERRED TAXATIONS CONTINUED

Deferred tax assets

Deferred tax assets are recognised to the extent it is probable that taxable profits will be available against which deductible temporary differences can be utilised.

The deferred tax assets arises from AME Properties Proprietary Limited and Oxford Office Terrace Proprietary Limited. Future taxable profits are estimated for these businesses based on intergroup rentals expected to be received.

MediaHeads 360 Proprietary Limited has utilised all of its previously recognised assessed losses in the prior year since it exceeded its performance expectations.

In respect of Moneyweb Proprietary Limited, the probability of future taxable profits being available in the foreseeable future remains uncertain. Therefore, based on the degree of uncertainty, the business has not recognised deferred tax on any assessed losses in the current year.

In respect of United Stations Proprietary Limited, the media industry remains in a phase of recovery due to economic challenges that have directly and indirectly impacted on the industry. Therefore, based on the degree of uncertainty of the probability of future taxable profits, the business has not recognised deferred tax on any assessed losses in the current year.

There are computed tax losses of R36.1 million (2022: R34.7 million) for which no deferred tax asset has been recognised. Should a deferred tax asset be recognised, a further R9.7 million (2022: R9.7 million) deferred tax asset will be recognised. Due to the probability of future taxable profits being low, the directors consider it prudent not to raise the full deferred tax asset at this stage.

10. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Financial instruments:				
Trade accounts receivable	65 223	55 028	–	–
Less: Allowance for expected credit losses	(1 357)	(815)	–	–
Trade receivables classified as amortised cost	63 866	54 213	–	–
OTHER RECEIVABLES				
Financial instruments:				
Deposits	163	215	32	82
Loans				
– Hot 1027 Proprietary Limited (Previously Classic FM South Africa Proprietary Limited)	16 596	16 015	16 596	16 015
– Other	1 867	975	1 589	973
Other	–	3	866	950
	18 626	17 208	19 083	18 020
Expected credit loss allowance for other receivables				
Loans				
– Hot 1027 Proprietary Limited (Previously Classic FM South Africa Proprietary Limited)	(10 500)	(15 000)	(10 500)	(15 000)
– Other	(1 871)	(586)	(1 589)	(586)
	(12 371)	(15 586)	(12 089)	(15 586)
Non-financial instruments:				
Prepayments	2 519	3 841	268	261
VAT receivable	–	2	–	–
Total other receivables	8 774	5 465	7 262	2 695
TOTAL TRADE AND OTHER RECEIVABLES	72 640	59 678	7 262	2 695

The carrying value of trade and other receivables classified at amortised cost approximates fair value.

Effective 1 May 2021, upon receipt by Classic 1027 of the new license terms as approved by ICASA, all conditions precedent to the Classic sale of share agreement were met and R22.8 million of the loan balance was converted into equity. Therefore the outstanding loan balance was reduced to R15 million and since May 2021, the loan has accrued interest at prime interest rate with no fixed repayment terms.

The expected credit loss assessment for the loan remains at stage 3 because the loan is in default and remains credit impaired, therefore the expected credit loss allowance recognised was R10.5 million (2022: R15 million).

The business has turned around, and has started to repay the loan towards the end of the year.

All other loans are interest free, unsecured and have no fixed repayment terms.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

10. TRADE AND OTHER RECEIVABLES CONTINUED

Exposure to credit risk

Please refer to note 32, Financial Instruments for disclosure of the group credit risk policy.

The group's current conditions and forecast of future economic conditions, including historical credit loss experience does not show significantly different loss patterns for different customer segments. The provision for credit losses is therefore based on past due status without disaggregating into further risk profiles.

The loss allowance provision on trade receivables is determined as follows:

	2023 R'000	2023 %	Group 2023 R'000 Loss allowance (Lifetime expected credit loss)	2022 R'000	2022 %	2022 R'000 Loss allowance (Lifetime expected credit loss)
	Estimated gross carrying amount	Expected loss rate		Estimated gross carrying amount	Expected loss rate	
Not past due	37 985	1	190	51 187	–	179
Less than 30 days past due	23 813	1	355	2 336	14	320
31–60 days past due	1 200	23	277	614	13	79
+61 days past due	2 225	24	535	891	27	237
	65 223		1 357	55 028		815

Reconciliation of loss allowance

Movements in the impairment allowance for trade receivables are as follows:

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Expected credit loss allowance for trade receivables				
Balance at beginning of the year	(815)	(1 314)	–	–
Movement in expected credit loss allowance for the current year	(1 163)	(1 277)	–	–
Allowance reversed on settled trade receivables	–	1 388	–	–
Actual bad debts written off	621	388	–	–
	(1 357)	(815)	–	–

Movements in the impairment allowance for other receivables are as follows:

Expected credit loss allowance for other receivables				
Balance at beginning of the year	(15 586)	(38 071)	(15 586)	(38 071)
Movement in expected credit loss allowance for the current year	(1 285)	(350)	(1 285)	(350)
Allowance reversed on other receivables	4 500	22 835	4 500	22 835
	(12 371)	(15 586)	(12 371)	(15 586)

Listings of overdue customer balances are reviewed monthly and against their credit terms/limits. Customers exceeding their credit terms/limits must settle their overdue balances before any further credit is extended. Appropriate legal action is taken to recover long-overdue debts.

Balances past due are not impaired, except to the extent that financial difficulty of the customer has been identified, a dispute has been raised or if future economic conditions are expected to have an adverse effect.

The group continued to maintain its credit policies and collection processes in the current year despite the turbulent economy and its challenges. This enabled the prevention of significant bad debt write-offs.

In determining the expected credit loss allowance for trade receivables, the group considers forward-looking, macroeconomic factors which affect the ability of debtors to settle their receivables.

Based on the nature of the business and the performance of its collections in the current year, the group identified GDP growth and business confidence as relevant factors for that impact on the credit quality of its customers and adjusted its historical loss rate based on the expected changes in these factors.

11. CASH AND CASH EQUIVALENTS

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Cash on hand	12	17	–	–
Bank balance	11 831	7 966	7 642	4 188
Short-term deposit	70 130	83 851	22 383	46 890
	81 973	91 834	30 025	51 078

12. SHARE CAPITAL

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
<i>Authorised</i>				
15 000 000 ordinary shares of R1 each	15 000	15 000	15 000	15 000
<i>Issued</i>				
Ordinary shares of R1 each				
Balance at beginning of the year	7 844	7 923	7 844	7 923
Shares repurchased and cancelled	(702)	(79)	(702)	(79)
	7 142	7 844	7 142	7 844

Unissued shares

The 7 857 823 (2022: 7 156 049) unissued shares are under the control of the directors in terms of a resolution of members passed at the annual general meeting of shareholders on 25 August 2022 (2021: 26 August 2021). The authority is valid until the next annual general meeting.

	Group		Company	
	2023	2022	2023	2022
	'000	'000	'000	'000
Balance at beginning of the year	7 156	7 077	7 156	7 077
Shares repurchased and cancelled	702	79	702	79
Unissued shares end of the year	7 858	7 156	7 858	7 156

13. NON-DISTRIBUTABLE RESERVE

The details of non-distributable reserves are as follows:

		Group		Company	
	Notes	2023	2022	2023	2022
		R'000	R'000	R'000	R'000
Balance at beginning of the year		1 678	3 513	7 325	9 160
Fair value adjustment on Mokgosi Holdings Proprietary Limited	8	–	(1 835)	–	(1 835)
Fair value adjustment on HOT 1027 Proprietary Limited	8	4 704	–	4 704	–
		6 382	1 678	12 029	7 325

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

14. OTHER PAYABLES

	Group		Company	
	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Amounts received in advance	2 254	2 344	–	–
Receiver of revenue VAT	16 079	3 368	109	27
Capital expenditure accruals	–	760	–	456
Payroll accruals	14 067	18 392	3 558	2 554
Levies	–	1 194	–	–
Accruals	16 122	10 860	1 540	1 065
Other	12	307	–	205
	48 534	37 225	5 207	4 307

15. PROVISIONS

	Group		Company	
	R'000	R'000	R'000	R'000
	Bonus incentive scheme	Total	Bonus incentive scheme	Total
As at 1 April 2022	–	–	–	–
Provision raised during the year	252	252	252	252
Balance as at 31 March 2023	252	252	252	252
Provision for the bonus incentive scheme is a constructive obligations that exist but for which the timing and amounts are uncertain.				
Long-term bonuses only vest from 31 March 2025 to 31 March 2027 if certain conditions are met in terms of services delivered and profitability of the group. Measurement of the bonus is based on the performance of the headline earnings per share and the bonus provision is calculated based on headline earnings per share at time of vesting.				
Due within one year or less	–	–	–	–
Due after more than one year	252	252	252	252
	252	252	252	252

16. BANK FACILITIES

The banking facilities for debit order transactions of the group are secured by limited suretyships by each individual subsidiary for its own facility. The following bank facilities are available as at the end of the financial year:

	Group		Company	
	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Credit Cards	557	507	–	–
Fleet Cards	150	150	–	–
Automated Clearing Bureau Debits (Nominal value)	1 830	1 830	–	–
Daylight Limit	8 000	8 000	–	–

17. FINANCIAL ASSETS BY CATEGORY

	Amortised cost R'000	Non- financial instru- ments R'000	Fair value through other compre- hensive income R'000	Total R'000
Group				
2023				
Other financial instruments	5 000	–	18 650	23 650
Trade receivables	63 866	–	–	63 866
Other receivables	6 255	2 519	–	8 774
Cash and cash equivalents	81 973	–	–	81 973
	157 094	2 519	18 650	178 263
2022				
Other financial instruments	5 000	–	12 650	17 650
Trade receivables	54 213	–	–	54 213
Other receivables	1 622	3 843	–	5 465
Cash and cash equivalents	91 834	–	–	91 834
	152 669	3 843	12 650	169 162
Company				
2023				
Loans to subsidiaries	74 401	–	–	74 401
Other financial instruments	5 000	–	18 650	23 650
Other receivables	6 994	268	–	7 262
Cash and cash equivalents	30 025	–	–	30 025
	42 019	268	18 650	60 937
2022				
Loans to subsidiaries	78 535	–	–	78 535
Other financial instruments	5 000	–	12 650	17 650
Other receivables	2 434	261	–	2 695
Cash and cash equivalents	51 078	–	–	51 078
	137 047	261	12 650	149 958

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

18. FINANCIAL LIABILITIES BY CATEGORY

	Non-financial instruments R'000	Amortised cost R'000	Total R'000
Group			
2023			
Trade payables	–	18 421	18 421
Other payables	18 333	30 201	48 534
Dividend payable	–	2 197	2 197
	18 333	50 819	69 152
2022			
Trade payables	–	21 078	21 078
Other payables	6 472	30 753	37 225
Dividend payable	–	2 041	2 041
	6 472	53 872	60 344
Company			
2023			
Trade payables	–	93	93
Other payables	109	5 098	5 207
Dividend payable	–	2 197	2 197
	109	7 388	7 497
2022			
Trade payables	–	713	713
Other payables	27	4 280	4 307
Dividend payable	–	2 041	2 041
	27	7 034	7 061

19. REVENUE

	Group		Company	
	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Continuing operations:				
Commercial advertising and related services				
– Over a period of time	268 669	250 765	–	–
Management fees received from subsidiaries				
– Over a period of time	–	–	12 257	11 618
Total	268 669	250 765	12 257	11 618

20. OPERATING EXPENSES

Are stated after taking the following into account:

		Group		Company	
	Notes	2023 R'000	2022 R'000	2023 R'000	2022 R'000
Expenses					
Administration and management fees paid					
– other companies		676	455	–	–
Auditors' remuneration					
– audit fees		1 826	1 678	575	548
– other services		13	33	–	–
Consulting fees		1 803	5 824	1 487	1 468
Depreciation	3	7 395	7 365	117	104
Impairment losses recognised/(reversed) on loans					
– Moneyweb Proprietary Limited	6	–	–	4 825	–
– Radio Heads Investment Holdings Proprietary Limited	7	–	–	1	–
– MediaHeads 360 Proprietary Limited	6	–	–	(2 675)	–
– HOT 1027 Proprietary Limited	10	(4 500)	–	(4 500)	–
Legal fees		432	389	145	166
Profit on disposal of property, plant and equipment		(102)	(59)	–	–
Operating lease charges					
– Short-term leases		326	103	445	420
– Low value assets		54	87	–	–
Secretarial fees		30	47	6	8
Staff costs (excluding directors emoluments)		81 242	71 477	3 535	3 440
Defined contribution plans		6 373	5 857	550	520
Allowance/(reversal) for expected credit losses on trade receivables	10	542	(499)	–	–
(Reversal)/allowance for expected credit losses on other receivables	10	(3 215)	–	(3 497)	350
		Salary 2023 R'000	Salary 2022 R'000	Fees 2023 R'000	Fees 2022 R'000
Directors' emoluments					
ACG Molusi*				221	228
DS Qocha*				64	–
J Edwards*				231	214
KW Thipe*				140	133
MJ Prinsloo*				285	282
MA da Costa*				134	89
N Sooka*				–	78
RCH Fedder**				–	–
SN Ngobese*				59	–
AJ Isbister***		1 207	1 080	–	–
DM Tiltmann***		3 012	2 642	–	–
Total remuneration		4 219	3 722	1 134	1 024

* Independent non-executive director

** Non-executive director

*** Executive director

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

20. OPERATING EXPENSE CONTINUED

	Leave pay R'000	Salary R'000	Bonus R'000	Total R'000
Breakdown of executive directors' salaries				
2023				
AJ Isbister	–	1 057	150	1 207
DM Tiltmann	–	2 512	500	3 012
Total remuneration	–	3 569	650	4 219
2022				
AJ Isbister	–	1 005	75	1 080
DM Tiltmann	–	2 392	250	2 642
Total remuneration	–	3 397	325	3 722

21. IMPAIRMENT OF ASSETS

Impairment losses recognised/(reversed) on loans and investments

		Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Moneyweb Proprietary Limited	6	–	–	–	795
Radio Heads Investment Holdings Proprietary Limited	6	–	–	–	1
MH360 Fusion Proprietary Limited		–	–	–	8
Algoa FM Radio Empowerment Company Proprietary Limited	6	–	–	–	2 755
Total		–	–	–	3 559

No impairment losses were recognised or reversed on goodwill and trademarks during the current or prior years.

22. INVESTMENT INCOME AND FINANCE INCOME

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Investment income				
– dividends received from other companies	4 118	1 537	3 118	1 037
Total	4 118	1 537	3 118	1 037
Finance income				
– interest received from bank	1 332	2 773	1 973	1 152
– interest received from loans	4 275	1 452	2 270	1 903
Total	5 607	4 225	4 243	3 055

23. TAXATION

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
South Africa normal taxation				
– current	11 868	10 807	179	476
– prior year adjustment	(11)	39	–	–
Deferred taxation				
– deferred	1 298	1 664	(247)	(104)
– prior year adjustment	(40)	2	–	–
– rate change	–	(74)	–	22
	13 115	12 438	(68)	394
Other comprehensive income				
– deferred	1 296	(565)	1 296	(565)
	1 296	(565)	1 296	(565)
	%	%	%	%
Tax rate reconciliation:				
Statutory tax rate	27.0	28.0	27.0	28.0
Non-deductible expenditure				
– Disallowed expenditure on dividends received	–	1.2	–	1.5
– Impairments/(reversal) of receivables , loans and investments	(1.9)	0.2	(1.9)	3.0
– Other	0.3	0.6	1.1	0.3
Exempt income				
– Income non-taxable including associates profit	(0.1)	(0.2)	–	–
– Dividends	(2.0)	(1.2)	(26.5)	(31.7)
– Other	(0.6)	(0.1)	–	–
Effect of rate change on deferred tax	–	–	–	0.1
Unrecognised assessed losses utilised	(0.7)	(1.4)	–	–
Deferred tax assets on tax losses not accounted for	1.3	–	–	–
Effective tax rate	23.3	27.1	(0.3)	1.2

The company has an estimated tax loss of Rnil (2022: Rnil) and the group has an estimated tax loss of R36.1 million (2022: R34.7 million) available for set off against future taxable income. These amounts have not yet been assessed and their recoverability is dependent on the respective companies earning future taxable income. Deferred tax of R9.7 million (2022: R9.4 million) have not been raised on unused tax losses. In 2023, the group remained cautious and have not raised further losses until more certainty is obtained about the utilisation thereof.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

24. EARNINGS AND HEADLINE EARNINGS PER SHARE

	Group			
	Gross	Net	Gross	Net
	2023	2023	2022	2022
	R'000	R'000	R'000	R'000
The earnings and headline earnings per share information is based on the following:				
Profit attributable to the equity holders of the parent	–	36 602	–	29 334
Adjustments:				
Profit on disposal of property, plant and equipment	(102)	(74)	(59)	(42)
Headline earnings	–	36 528	–	29 292
Earnings and diluted earnings per share (cents)		485.5		372.2
Headline earnings and diluted headline earnings per share (cents)		484.5		371.6
Gross dividends per share for the year (cents) (Interim and final)		350.0		280.0
Weighted average number of shares in issue (000's)		7 539		7 882

25. CASH GENERATED BY OPERATING ACTIVITIES

		Group		Company	
	Notes	2023	2022	2023	2022
		R'000	R'000	R'000	R'000
Net profit before taxation		56 277	45 873	25 216	33 746
Adjustments		(7 744)	1 242	(9 797)	(3 951)
– investment income	22	(4 118)	(1 537)	(3 118)	–
– finance income	22	(5 607)	(4 225)	(4 243)	(3 055)
– dividend in specie	6	–	–	–	(4 550)
– depreciation	3	7 395	7 365	117	104
– profit on disposal of property, plant and equipment		(103)	(59)	(2)	–
– impairment of investments and loans		–	(1)	4 828	3 550
– reversal of impairment of loans		(4 499)	–	(7 175)	–
– Decrease in provision		(508)	–	(204)	–
– equity accounted earnings from associates		(304)	(301)	–	–
Cash generated by operating activities		48 533	47 115	15 419	29 795

26. TAXATION PAID

	Group			
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Amount unpaid at beginning of year	(120)	753	(122)	500
Amount charged to statement of comprehensive income	(11 857)	(10 846)	(179)	(476)
Amount unpaid at end of year	414	120	44	122
	(11 563)	(9 973)	(257)	146

27. DIVIDENDS

	Group and company	
	2023	2022
	R'000	R'000
Gross dividends per share (cents) (Interim)	100	80
Gross dividends per share (cents) (Final)	250	200
Total gross dividends per share for the year (cents)	350	280
Dividends paid		
Amount unpaid at beginning of year	(2 041)	(1 957)
Interim dividend declared	(7 646)	(6 339)
Prior year final dividend paid in the current year	(15 688)	(7 923)
Amount unpaid at end of year	2 197	2 041
	(23 178)	(14 178)

28. DECREASE/INCREASE IN INVESTMENTS AND LOANS

	Notes	Opening balance	Fair value changes	Transfer of associate to subsidiary	Group Other non-cash movements	Total non-cash movements	Cash outflow/ (inflow)	Closing balance
2023								
Investments in associates	7	2 572	–	–	304	304	–	2 876
Other financial instruments	8	17 650	6 000	–	–	6 000	–	23 650
		20 222	6 000	–	304	6 304	–	26 526
2022								
Investments in associates	7	5 093	–	(1 922)	301	(1 621)	(900)	2 572
Other financial instruments	8	20 050	(2 400)	–	–	(2 400)	–	17 650
		25 143	(2 400)	(1 922)	301	(4 021)	(900)	20 222

	Notes	Opening balance	Fair value changes/ impairment	Company Other non-cash movements	Total non-cash movements	Cash outflow/ (inflow)	Closing balance
2023							
Investments in subsidiaries	6	84 571	–	–	–	–	84 571
Loans to subsidiaries	6	78 535	(2 153)	–	(2 153)	(1 981)	74 401
Other financial instruments	8	17 650	6 000	–	6 000	–	23 650
		180 756	3 847	–	3 847	(1 981)	182 622

	Notes	Opening balance	Fair value changes/ impairment	Sale of non-current assets	Total non-cash movements	Cash outflow/ (inflow)	Closing balance
2022							
Investments in subsidiaries	6	80 771	(2 755)	4 550	1 795	2 005	84 571
Loans to subsidiaries	6	81 845	(795)	–	(795)	(2 515)	78 535
Other financial instruments	8	20 050	(2 400)	–	(2 400)	–	17 650
		182 666	(5 950)	4 550	(1 400)	(510)	180 756



NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

29. BORROWING POWERS

In terms of the company's Memorandum of Incorporation, the borrowing powers of the company are unlimited.

At 31 March 2023, the company's borrowings totalled Rnil (2022: Rnil), and its subsidiaries' borrowings totalled Rnil (2022: Rnil).

30. RETIREMENT BENEFITS

Certain subsidiary companies presently contribute to defined contribution retirement benefit plans, being either provident funds or pension funds governed by the Pension Funds Act, 1956, which due to the nature of the funds do not require actuarial valuations.

It is compulsory for the employees of the operational subsidiary companies to be a member of a fund. The subsidiaries and members of the funds contribute to the funds in equal proportions. Group contributions are disclosed in note 20 Operating expenses.

The group has no obligations to fund post-retirement medical benefits.

31. RELATED PARTIES

Identity of related parties

The subsidiaries of the group are identified in note 6 and the associates of the group are disclosed in note 7. Significant shareholders are detailed on page 69. The directors are listed in the directors' report. Details of key management are listed on page 7.

Related party transactions

Details of directors' remuneration are listed in note 20, Operating expenses and details of directors' interests in shares are included in the directors' report on pages 18 and 19.

Trading transactions occur between subsidiaries and divisions within the group companies and are reversed on consolidation of the accounts.

Details of such transactions, including loans, other receivables, management fees, rental and dividends are detailed below:

	Company	
	2023	2022
	R'000	R'000
<i>Loan Accounts owing by related parties</i>		
AME Properties Proprietary Limited	70 747	74 247
MediaHeads 360 Proprietary Limited	4 500	7 809
Radio Heads Investment Holdings Proprietary Limited	59	58
United Stations Proprietary Limited	4 620	4 620
Moneyweb Proprietary Limited	7 570	2 745
<i>Loan Accounts owing to related parties</i>		
Moneyweb Holdings Proprietary Limited	(21)	–
<i>Amounts included in other receivables regarding related parties</i>		
Central Media Group Proprietary Limited	353	338
Umoya Communications Proprietary Limited	538	472
United Stations Proprietary Limited	–	3
Moneyweb Proprietary Limited	–	133
MediaHeads 360 Proprietary Limited	1	1
<i>Amounts included in other payables regarding related parties</i>		
United Stations Proprietary Limited	2	3
AME Properties Proprietary Limited	17	40
Moneyweb Proprietary Limited	–	54
<i>Management fees received from related parties</i>		
Central Media Group Proprietary Limited	3 456	3 276
Umoya Communications Proprietary Limited	5 184	4 914
United Stations Proprietary Limited	253	240
AME Properties Proprietary Limited	3 111	2 948
Moneyweb Proprietary Limited	253	240
<i>Premises rental paid to related parties</i>		
AME Properties Proprietary Limited	104	78
<i>Interest received from/(paid to) related parties</i>		
MediaHeads 360 Proprietary Limited	470	460
Umoya Communications Proprietary Limited	(13)	–

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

31. RELATED PARTIES CONTINUED

	Company 2023 R'000	2022 R'000
<i>Dividends received from related parties</i>		
Algoa FM Radio Empowerment Company Proprietary Limited – preference dividend	1 760	2 497
Algoa FM Radio Empowerment Company Proprietary Limited – ordinary dividend	216	540
Central Media Group Proprietary Limited	11 803	14 754
Umoya Communications Proprietary Limited – ordinary dividend	8 800	14 400
AME Broadcasting Proprietary Limited – Dividend <i>in specie</i>	–	4 550

Related party not part of group

All transactions with related parties not part of the group are in the normal course of business.

	Group 2023 R'000	2022 R'000	Company 2023 R'000	2022 R'000
Dividends received from associate				
Mahareng Publishing Proprietary Limited	1 000	500	–	–

Other than disclosed in this note and the directors interests as disclosed in the directors report on pages 18 to 19, none of the other directors or major shareholders of the group, nor their families, had any direct or indirect interests in any transaction concluded with the group in the current or prior financial years.

32. FINANCIAL INSTRUMENTS

Credit risk

Credit risk is minimised through an initial new client acceptance procedure whereby potential customers are individually assessed before an appropriate credit limit is allocated. The subsidiaries use a vetting agency which maintains current credit data on most companies in South Africa.

There have been no significant changes in the credit risk management policies and processes since the prior reporting period.

The group applies the IFRS 9 simplified approach to measuring expected credit losses using a lifetime expected credit loss provision for trade receivables. These lifetime expected credit losses are estimated using a provision matrix, which is presented in note 10, trade and other receivables. The provision matrix groups debtors based on similar risk and aging and has been developed by making use of past default experience of debtors. The expected loss incorporates forward-looking information and general economic conditions of the industry as at the reporting date. The group has identified GDP growth and business confidence as relevant factors when adjusting the historical rate.

Financial assets subject to credit risk are cash, short-term deposits and trade receivables. The group's cash equivalents and short-term deposits are placed with Absa, a reputable financial institution with a AAA credit rating. Trade receivables are presented net of the allowance for credit losses.

Concentration of risk with respect to trade receivables is limited due to the large number of customers comprising the group's customer base and their dispersion across different industries and geographical areas.

In regard to the company, loans to subsidiaries are impaired in accordance with the general approach of IFRS 9.

The loans to associates were settled in the current year and no further loans were granted.

The carrying amounts of financial assets included in the consolidated statement of financial position represent the group's exposure to credit risk in relation to these assets.

32. FINANCIAL INSTRUMENTS CONTINUED

The maximum exposure to credit risk is presented in the table below:

	Gross carrying amount	2023 Credit loss allowance/ fair value changes	Amortised cost/ fair value	Gross carrying amount	2022 Credit loss allowance/ fair value changes	Amortised cost/ fair value
Group						
Other financial instruments	46 389	(22 739)	23 650	49 839	(32 189)	17 650
Trade receivables	65 223	(1 357)	63 866	55 028	(815)	54 213
Other receivables	18 626	(12 371)	6 255	21 051	(15 586)	5 465
Cash and cash equivalents	81 973	–	81 973	91 834	–	91 834
	212 211	(36 467)	175 744	217 752	(48 590)	169 162
Company						
Loans to subsidiaries	82 796	(8 395)	74 401	84 838	(6 303)	78 535
Other financial instruments	45 262	(21 612)	23 650	48 712	(31 062)	17 650
Other receivables	19 083	(12 089)	6 994	18 281	(15 586)	2 695
Cash and cash equivalents	30 025	–	30 025	51 078	–	51 078
	177 166	(42 096)	135 070	202 909	(52 951)	149 958

Fair values

At 31 March 2023 and 31 March 2022, the carrying amounts of cash and short-term deposits, receivables, payables and accrued expenses approximated their fair values due to the short-term maturities of these assets and liabilities. The carrying value of financial instruments also approximate their fair values.

Liquidity risk

The group manages its liquidity risk through an ongoing review of future commitments and by monitoring cash flow forecasts. The only financial instruments which expose the group to liquidity risk are trade and other payables, all of which will be paid within agreed credit terms.

The table below analyses the group's and company's financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date.

The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying value as the impact of discounting is not significant.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

32. FINANCIAL INSTRUMENTS CONTINUED

	Less than one year R'000	Between one and two years R'000	Between two and five years R'000	Over five years R'000
Group				
At 31 March 2023				
Trade and other payables	36 648	–	–	–
At 31 March 2022				
Trade and other payables	54 632	–	–	–
Company				
At 31 March 2023				
Trade and other payables	3 830	–	–	–
At 31 March 2022				
Trade and other payables	7 034	–	–	–

Capital risk management

The group manages its capital to ensure that entities in the group will be able to continue as going concerns while maximising the returns to stakeholders through the optimisation of the debt and equity balance. The group's overall strategy remains unchanged from the previous reporting period.

The capital structure of the group consists of debt, cash and cash equivalents and equity attributable to holders of the parent, comprising issued capital, reserves and retained earnings, respectively.

In order to maintain or adjust the capital structure, the group may adjust the dividend distribution to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Cash and bank balances*	81 961	91 817	30 025	51 078
Equity**	245 926	250 547	211 662	227 601

* Cash and bank balances includes all bank balances and short-term deposits (Refer note 11)

** Equity includes all capital and reserves of the group that are managed as capital (Refer notes 12 and 13)

Interest rate risk

The group's and company's exposure to interest rate risk and the effective interest rates on financial instruments at balance sheet date were:

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Floating interest rate instruments	81 961	91 834	30 025	51 078
Cash and cash equivalents	81 961	91 834	30 025	51 078
Weighted average effective interest rate (%)	5.6	3.4	5.6	3.4

Surplus cash flows exposed to interest rate risk are placed with institutions and facilities which yield the highest rate of return.

At 31 March 2023 and 31 March 2022, if interest rates had been 1% higher with all other variables held constant, post-tax profit of the group for the period would have increased by approximately R0.6 million (2022: R0.7 million) and for the company by approximately R0.2 million (2022: R0.2 million). 1% movement is used as it is the expected movement in interest rates.

33. COMMITMENTS

	Group		Company	
	2023	2022	2023	2022
	R'000	R'000	R'000	R'000
Short-term lease commitments				
Minimum lease payments due:				
– within one year	–	38	–	–
– in second to fifth year inclusive	–	–	–	–
Leases with terms less than 12 months with external parties have been treated as short-term leases				
Capital commitments				
Payable within one year	–	264	–	–
– Capital expenditure	–	264	–	–
	–	264	–	–

The group has committed itself to capital expenditure of Rnil for equipment (2022: R263 917) which have been contracted for and will be financed from its existing cash resources.

34. GOING CONCERN

The group is in a strong financial position, has adequate cash balances and will continue to tightly control expenditure and cash flows. Therefore, the directors have reason to believe that the business of the group will continue to function as a going concern for the foreseeable future.

The financial statements have been prepared on the basis of accounting policies applicable to a going concern. This basis assumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities, contingent obligations and commitments will occur in the ordinary course of business.

35. EVENTS AFTER THE REPORTING PERIOD

The board declared a final dividend of 250 cents (gross) per ordinary share on 1 June 2023 for the year ended 31 March 2023.

Other than the above, to the best of the directors' knowledge, there have been no other material matters between the group's year-end and the date of this report that are required to be brought to the attention of the shareholders.

NOTES TO THE FINANCIAL STATEMENTS CONTINUED

for the year ended 31 March 2023

36. SEGMENTAL REPORTING

	Radio broadcasting		Media services		Corporate		Group total	
	2023	2022	2023	2022	2023	2022	2023	2022
	R'000	R'000	R'000	R'000	R'000	R'000	R'000	R'000
Revenue								
Total revenue	193 226	172 750	80 386	82 613	12 257	20 904	285 869	276 267
Internal revenue	–	–	(4 943)	(4 598)	(12 257)	(20 904)	(17 200)	(25 502)
External revenue	193 226	172 750	75 443	78 015	–	–	268 669	250 765
Profitability								
Segment profit from operations	51 447	41 257	1 022	3 852	1 174	2 066	53 643	47 175
Profits from associates	304	840	–	–	–	(539)	304	301
	51 751	42 097	1 022	3 852	1 174	1 527	53 947	47 476
Depreciation							(7 395)	(7 365)
Investment income							4 118	1 537
Finance income							5 607	4 225
Taxation							(13 115)	(12 438)
Profit for the year							43 162	33 435
Assets								
Segment assets	89 180	72 864	45 322	48 942	118 958	114 551	253 460	236 357
Investment in associates	2 876	2 572	–	–	–	–	2 876	2 572
	92 056	75 436	45 322	48 942	118 958	114 551	256 336	238 929
Cash and cash equivalents							81 973	91 834
							338 309	330 763
Liabilities								
Segment liabilities	23 180	16 731	36 888	35 883	17 352	13 654	77 420	66 268
Capital expenditure	3 533	2 835	1 894	545	880	204	6 307	3 584
Depreciation	6 517	6 651	680	546	198	168	7 395	7 365

ANALYSIS OF SHAREHOLDING

as at 31 March 2023

	Number of shares held R'000	Shares held %	Number of shareholders	Shareholder %
Size of shareholding				
1 – 1 000	138	1.9	1 355	85.1
1 001 – 10 000	568	8.0	196	12.3
10 001 – 100 000	953	13.3	31	2.0
100 001 +	5 483	76.8	10	0.6
Total	7 142	100.0	1 592	100.0
Category				
Private individuals	4 186	58.7	1 473	92.5
Nominee companies or trusts	1 051	14.7	50	3.1
Investment companies	1 004	14.0	42	2.7
Limited companies	878	12.3	8	0.5
Other corporate bodies	23	0.3	19	1.2
Total	7 142	100.0	1 592	100.0
Shareholder spread				
Non-public shareholders				
Shareholders holding more than 5% of the issued ordinary shares				
– Moolman and Coburn Partnership	2 312	32.4	1	0.1
– Mr John Biccard	608	8.5	1	0.1
– Trucha Limited	533	7.5	1	0.1
– Ms Merle Renee McIntock	497	7.0	1	0.1
– Red Rock Capital Investments	430	6.0	1	0.1
	4 380	61.4	5	0.5
Public shareholders	2 762	38.6	1 587	99.5
Total	7 142	100.0	1 592	100.0

Directors' interests

There are no directors holding, directly or indirectly, in excess of 1% of the issued share capital of the company on 31 March 2023.

NOTICE OF ANNUAL GENERAL MEETING

for the year ended 31 March 2023



(Incorporated in the Republic of South Africa)
(Registration number 1926/008797/06)
JSE share code: AME ISIN: ZAE000055802

Notice is hereby given that the 25th annual general meeting ("the meeting") of shareholders of African Media Entertainment Limited ("AME" or "the company") will be **conducted entirely via a remote interactive electronic platform** Google Meet, on Thursday 24 August 2023 at 10:00.

RECORD DATE, ATTENDANCE AND VOTING

The record date for determining which shareholders are entitled to notice of the meeting is Friday, 21 July 2023, and the record date for determining which shareholders are entitled to participate in and vote at the meeting is Friday, 18 August 2023. The last day to trade to be eligible to vote at the meeting is accordingly Tuesday, 15 August 2023.

Shareholders are required to lodge Proxy Forms by 10:00 on Tuesday, 22 August 2023, for administrative purposes.

ELECTRONIC ATTENDANCE AT THE MEETING

Section 63(2)(a) of the Companies Act and the company's memorandum of incorporation authorises the conduct of shareholders' meetings entirely by electronic communication.

Shareholders of the company or their duly appointed proxies that wish to participate in the annual general meeting will need to register by lodging a completed Electronic Participation Form, available immediately after the proxy form on page 79, to the transfer secretaries at the e-mail address proxy@computershare.co.za and to companysecretary@ame.co.za by no later than 10:00 on Tuesday, 22 August 2023, so that the company can make the necessary arrangements for electronic communication and participation. Should you be participating in the meeting by electronic communication, kindly ensure that the voting proxies are sent to the company, or the transfer secretaries by 10:00 on Tuesday, 22 August 2023 via the e-mail addresses above or at the address set out at the end of this notice of meeting.

The electronic platform (Google Meet) to be utilised to host the meeting **DOES NOT PROVIDE FOR ELECTRONIC VOTING DURING THE MEETING**.

Accordingly, shareholders are strongly encouraged to submit votes by proxy in advance of the annual general meeting by completing the Form of Proxy attached and lodging this form with the company's transfer secretaries by no later than 10:00 on Tuesday, 22 August 2023 by:

- delivery to Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank; or
- e-mail to proxy@computershare.co.za or companysecretary@ame.co.za

Fully verified shareholders or their duly appointed proxies who have applied to participate electronically in the meeting are requested by no later than 09:55 on Thursday, 24 August 2023, to join the lobby of the meeting by clicking on the Google Meet Meeting ID link to be provided by AME's company secretary or by the secretarial office. Admission to the meeting will be controlled by the company secretary/secretarial office.

Participants will be liable for their own network charges in relation to electronic participation in the meeting. Any such charges will not be for the account of the company's transfer secretaries or the company who will also not be held accountable in the case of loss of network connectivity or other network failures due to insufficient airtime, internet connectivity, internet bandwidth and/or power outage which prevents any such shareholder or their proxy from participating at the meeting.

PURPOSE OF MEETING

The purpose of this meeting is to present the director's report and the audited financial statements of the company and the group for the year ended 31 March 2023 and to consider and, if deemed fit, to pass, with or without modification the resolutions set out below.

ORDINARY RESOLUTIONS

To consider and, if deemed fit, approve the following ordinary resolutions with or without modification.

Voting requirements: In order to be adopted, all ordinary resolutions require the support of a majority of the votes cast by shareholders present or represented by proxy at this meeting. The quorum for the meeting is 25% of the issued share capital of the company.

1. ORDINARY RESOLUTION NUMBER 1: ADOPTION OF THE ANNUAL FINANCIAL STATEMENTS

"Resolved that:

the annual financial statements of the company and the group for the year ended 31 March 2023 be and are hereby adopted."

Explanation: The reason for and effect of ordinary resolution number 1 is to receive and adopt the annual financial statements for the company and the group for the year ended 31 March 2023.

2. ORDINARY RESOLUTION NUMBER 2: TO PLACE THE UNISSUED SHARES OF THE COMPANY UNDER THE CONTROL OF THE DIRECTORS

"Resolved that:

all the unissued shares in the capital of the company be placed under the control of the directors in terms of article 6 of the memorandum of incorporation of AME, as a general authority in terms of the Companies Act, 2008 (Act 71 of 2008), as amended ("the Act"), who are hereby authorised to allot and issue shares in the capital of the company to those persons, upon such terms and conditions, as the directors in their sole discretion deem fit, until the next annual general meeting, subject to the provisions of the Act and the Listings Requirements of the Johannesburg Stock Exchange ("JSE")."

Explanation: In terms of article 6 of the memorandum of incorporation of AME and in terms of the general authority, the authority given at the annual general meeting needs to be renewed.

3. ORDINARY RESOLUTION NUMBER 3: RE-ELECTION OF NON-EXECUTIVE DIRECTORS

"Resolved that:

3.1 Mr ACG Molusi, who retires by rotation in terms of the Memorandum of Incorporation of the company and who is eligible and available for re-election, be and is hereby re-elected as director of the company.

3.2 Ms K Williams-Thipe, who retires by rotation in terms of the Memorandum of Incorporation of the company and who is eligible and available for re-election, be and is hereby re-elected as director of the company."

Explanation: To re-elect Mr ACG Molusi and Ms K Williams-Thipe, who are recommended by the board and whose appointment automatically terminates on the day of the meeting in terms of article 31 of the Memorandum of Incorporation of the company. A brief biography of each appears on page 7.

The ordinary resolutions number 3.1 and 3.2 will be considered separately.

4. ORDINARY RESOLUTION NUMBER 4: APPOINTMENT OF NEW DIRECTORS TO THE BOARD

"Resolved that:

4.1 Mrs DS Qocha be appointed to the board of directors as an independent non-executive director.

4.2 Mr SN Ngobese be appointed to the board of directors as an independent non-executive director.

4.3 Mr RCH Fedder be appointed to the board of directors as a non-executive director."

Explanation: The memorandum of incorporation requires that directors appointed during the year retire at the annual general meeting. These directors, if eligible, may also be elected. Brief biographies of these directors appear on page 7.



NOTICE OF ANNUAL GENERAL MEETING CONTINUED

for the year ended 31 March 2023

5. ORDINARY RESOLUTION NUMBER 5: APPOINTMENT OF THE INDEPENDENT AUDITOR

“Resolved that:

Mazars South Africa be and is hereby appointed as independent auditor of the company from the conclusion of this annual general meeting until the conclusion of the next meeting of the company.”

Explanation: The reason for this ordinary resolution is that the company, being a listed public company, must appoint an independent auditor and have its annual financial statements audited.

6. ORDINARY RESOLUTION NUMBER 6: RE-ELECTION OF THE AUDIT COMMITTEE MEMBERS AND CHAIRMAN

“Resolved that:

6.1 Ms MA da Costa be and is hereby re-elected as a member and chairwoman of the audit committee until conclusion of the next meeting.

6.2 Ms J Edwards be and is hereby re-elected as a member of the audit committee until conclusion of the next meeting.

6.3 Mr MJ Prinsloo be and is hereby re-elected as a member of the audit committee until conclusion of the next meeting.

6.4 Mr SN Ngobese be and is hereby elected as a member of the audit committee until conclusion of the next meeting.”

Explanation: To re-elect Mmes J Edwards, MA da Costa and Mr MJ Prinsloo, who are recommended by the Board and whose appointment automatically terminates on the day of the meeting. To elect Mr SN Ngobese who is recommended by the Board and whose appointment automatically terminates on the day of the meeting. The reason for this ordinary resolution is that at each annual general meeting, a public company must elect an audit committee comprising of at least three independent non-executive directors.

Brief biographies of these directors appear on page 7.

The ordinary resolutions number 6.1, 6.2, 6.3 and 6.4 will be considered separately.

7. ORDINARY RESOLUTION NUMBER 7: RE-ELECTION OF THE SOCIAL AND ETHICS COMMITTEE MEMBERS AND CHAIRMAN

“Resolved that:

7.1 Mrs K Williams-Thipe be and is hereby re-elected as a member and chairwoman of the social and ethics committee until conclusion of the next meeting.

7.2 Mr SN Ngobese be and is hereby elected as a member of the social and ethics committee until conclusion of the next meeting.

7.3 Mr DM Tiltmann be and is hereby elected as a member of the social and ethics committee until conclusion of the next meeting.”

Explanation: To re-elect Mmes K Williams-Thipe, and elect Messrs SN Ngobese and DM Tiltmann, who are recommended by the Board and whose appointment automatically terminates on the day of the meeting. The reason for this ordinary resolution is that at each annual general meeting, a public company must elect a social and ethics committee comprising of at least three members.

Brief biographies of these directors appear on page 7.

The ordinary resolutions number 7.1, 7.2 and 7.3 will be considered separately.



8. ORDINARY RESOLUTION NUMBER 8: AUTHORITY TO SIGN DOCUMENTATION:

"Resolved that:

any director of the company or the company secretary be and is hereby authorised to take all actions necessary and sign all documentation required to give effect to the ordinary and special resolutions which have been passed at the meeting."

Explanation: To give authority to any director or the company secretary to sign all documentation required to give effect to the ordinary and special resolutions which have been passed at the meeting.

9. NON-BINDING ADVISORY RESOLUTION NUMBER 1: APPROVAL OF REMUNERATION POLICY

"Resolved that:

the company's remuneration policy as set out in the corporate governance report, be and is hereby approved."

Explanation: The policy and report are tabled in terms of King IV, to enable shareholders to express their views on the remuneration policies adopted. The ordinary resolution is advisory in nature, but will be taken into consideration when considering the company's remuneration policy and its implementation in the future.

Shareholders are reminded that, in terms of King IV, the passing of this advisory resolution is by way of a non-binding vote. However, should 25% or more of the votes at the meeting be cast against this resolution, the company undertakes to engage with shareholders as to the reasons therefor.

10. NON-BINDING ADVISORY RESOLUTION NUMBER 2: APPROVAL OF IMPLEMENTATION OF THE REMUNERATION POLICY

"Resolved that:

the implementation of the company's remuneration policy as tabled for the year ended 31 March 2023 be and is hereby approved."

Explanation: The resolution is tabled to enable shareholders to express their views on the implementation of the remuneration policy adopted. This resolution is advisory in nature, but will be taken into consideration when considering the company's remuneration policy in the future.

Shareholders are reminded that, in terms of King IV, the passing of this advisory resolution is by way of a non-binding vote. However, should 25% or more of the votes at the meeting be cast against this resolution, the company undertakes to engage with shareholders as to the reasons therefor.

SPECIAL RESOLUTIONS

To consider and, if deemed fit, approve the following special resolutions with or without modification.

Voting requirements: In order to be adopted, all special resolutions require the support of 75% or more of the votes cast by shareholders present or represented by proxy at this meeting. The quorum for the meeting is 25% of the issued share capital of the company.

1. SPECIAL RESOLUTION NUMBER 1: FINANCIAL ASSISTANCE TO RELATED OR INTER-RELATED ENTITIES TO THE COMPANY

"Resolved that:

The Board of directors is authorised, in terms of and subject to the provisions of section 45 of the Act, to cause the company to provide financial assistance to any company or corporation that is related or inter-related to the company."

Explanation: The reason for and effect of special resolution number 1 is to grant to the directors of the company the authority to cause the company to provide financial assistance to any entity which is related or inter-related to the company. This special resolution does not authorise the provision of financial assistance to a director or prescribed officer of the company.

NOTICE OF ANNUAL GENERAL MEETING CONTINUED

for the year ended 31 March 2023

2. SPECIAL RESOLUTION NUMBER 2: APPROVAL OF NON-EXECUTIVE DIRECTORS' FEES

"Resolved that:

The remuneration of the non-executive directors be and is hereby determined with effect from 1 April 2023 as set out below:

Directors' fees are payable per meeting attended:	R
Board	
Chairman	27 540
Other	18 360
Audit committee	
Chairman	18 360
Other	12 630
Remuneration committee	
Chairman	18 360
Other	12 630
Social and ethics committee	
Chairman	18 360
Other	12 630

Explanation: The reason for and effect of special resolution number 2 is to grant the company the authority to pay fees to non-executive directors for their services as directors.

3. SPECIAL RESOLUTION NUMBER 3: GENERAL AUTHORITY FOR COMPANY AND/OR SUBSIDIARY TO ACQUIRE THE COMPANY'S OWN SHARES

"Resolved that:

The company and/or a subsidiary of the company be and is hereby authorised to repurchase ordinary shares issued by the company on such terms and conditions and in such amounts as the directors of the company may decide, but subject always to the provisions of Section 48 of the Act, and the Listings Requirements of the JSE, which currently stipulate that:

- the repurchase of securities must be effected through the order book operated by the JSE trading system and done without any prior understanding or arrangement between the company and the counterparty (reported trades are prohibited);
- at any point in time the company may only appoint one agent to effect any repurchases on the company's behalf;
- the company or any of its subsidiaries may not repurchase securities during a prohibited period as defined in the Listings Requirements of the JSE unless they have a repurchase programme in place;
- this general authority shall only be valid until the company's next meeting, provided that it shall not extend beyond 15 (fifteen) months from the date of passing of this Special Resolution;
- an announcement will be published as soon as the company has acquired ordinary shares constituting, on a cumulative basis, 3% (three percent) of the number of ordinary shares in issue, at the time of passing of this special resolution, and any 3% (three percent) increments thereafter which announcements shall contain full details of such acquisitions;
- acquisitions of ordinary shares by the company in terms of this general authority in the aggregate in any one financial year may not exceed 20% (twenty percent) of the company's issued ordinary share capital nor may any subsidiary hold more than 10% (ten percent) of the company's issued share capital at any one time; and
- in determining the price at which ordinary shares issued by the company are acquired in terms of this general authority, the maximum price at which such ordinary shares may be acquired may not be greater than 10% (ten percent) above the weighted average of the market price at which such ordinary shares traded on the JSE over the 5 (five) business days immediately preceding the date on which the transaction is effected.

The general authority to repurchase the company's shares will be acted upon within the parameters laid down by the JSE, as and when the directors deem it to be appropriate. After considering the effect of a general repurchase within these parameters, the directors are of the view that for a period of at least 12 (twelve) months after the date of this notice of meeting:

- AME and the group will be able in the ordinary course of business to pay its debts;
- the assets of AME and the group, fairly valued in accordance with accounting policies used in the latest audited report, will be in excess of the liabilities of the company and the group;
- the ordinary capital and reserves of AME and the group will be adequate for the purposes of the company's and the group's businesses respectively; and
- the working capital of AME and the group will be adequate for their requirements."

The reason for this special resolution is to grant a general authority in terms of the Act and the Listings Requirements of the JSE for the repurchase by the company and/or a subsidiary of shares issued by the company, subject to statutory and regulatory limitations and controls.

The effect of this special resolution is to enable the company and/or a subsidiary, by way of a general approval, to repurchase up to a maximum of 20% (twenty percent) of its share capital in any one financial year.

Explanation: The reason for and effect of special resolution number 3 is to give a mandate to the directors to repurchase ordinary shares issued by the company.

4. SPECIAL RESOLUTION NUMBER 4: FINANCIAL ASSISTANCE FOR SUBSCRIPTION FOR OR PURCHASE OF SECURITIES BY RELATED OR INTER- RELATED ENTITIES TO THE COMPANY

"Resolved that:

The board of directors is authorised, in terms of and subject to the provisions of section 44 of the Act, to cause the company to provide financial assistance to any entity that is related or inter-related to the company for the subscription for or purchase of securities in the company or in any entity that is related or inter-related to the company."

Explanation: The reason for and effect of special resolution number 4 is to grant the directors of the company the authority to cause the company to provide financial assistance to any entity which is related or inter-related to the company for the subscription for or purchase of securities in the company or in any company or corporation that is related or inter-related to the company. This special resolution does not authorise the provision of financial assistance to a director or prescribed officer of the company for the subscription for or purchase of securities in the company or in any company or corporation that is related or inter-related to the company.

ADDITIONAL DISCLOSURE REQUIREMENTS IN TERMS OF THE JSE LISTINGS REQUIREMENTS

As per section 11.26(b) of the Listings Requirements of the JSE, shareholders are referred to the following sections in the annual report to which this notice of annual general meeting is attached:

- Details of directors on page 7;
- Directors' interest in securities commencing on page 18 (which beneficial interests have not changed since 31 March 2023);
- Major shareholders on page 69;
- Material changes in the company's trading or financial position after 31 March 2023 on page 67; and
- The Share Capital, note 12 on page 53.



NOTICE OF ANNUAL GENERAL MEETING CONTINUED

for the year ended 31 March 2023

LITIGATION STATEMENT

The directors are not aware of any legal or arbitration proceedings active, pending or threatened against or being brought by the company, which may have a material effect on the group's financial position or which have had a material effect during the 12 months preceding the date of this notice of annual general meeting.

DIRECTORS' RESPONSIBILITY STATEMENT

The directors, whose names are given on page 7 of this annual report, collectively and individually accept full responsibility for the accuracy of the information pertaining to special resolutions number 1, 2, 3, and 4, and certify that to the best of their knowledge and belief, there are no facts which have been omitted, which would make any statement false or misleading, and that all reasonable enquiries to ascertain such facts have been made and that the resolutions contain all information relevant to special resolutions number 1, 2, 3 and 4.

MATERIAL CHANGES

Other than the facts and developments reported on in the annual financial statements, there have been no material changes in the affairs or financial position of the company and its subsidiaries since the date of signature of the audit report and up to the date of this notice.

VOTING AND PROXIES

Each shareholder who, being a natural person, is present in person, by proxy or agent, or, being a company, is represented by representative proxy or agent at the meeting, is entitled to one vote for each share held.

The electronic platform (Google Meet) to be utilised to host the meeting, **DOES NOT PROVIDE FOR ELECTRONIC VOTING DURING THE MEETING.**

Accordingly, shareholders are strongly encouraged to submit votes by proxy in advance of the annual general meeting, by completing the form of proxy attached and lodging this form with the company's transfer secretaries by no later than 10:00 on Tuesday, 22 August 2023 by:

- delivery to Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank; or
- e-mail to proxy@computershare.co.za or companysecretary@ame.co.za

Any forms of proxy not submitted by this time can still be lodged by e-mail to proxy@computershare.co.za or companysecretary@ame.co.za prior to the commencement of the meeting.

Shareholders are reminded that they are still able to vote normally through proxy submission, despite deciding to participate either electronically or not at all in the meeting.

Shareholders who indicate in the Electronic Participation Application Form that they wish to vote during the electronic meeting, will be contacted by the company's transfer secretaries to make the necessary arrangements.

A form of proxy is attached for use by certificated or own name shareholders who are unable to attend the meeting but wish to be represented thereat. They are required to complete and return the form of proxy to be received by the transfer secretaries of the company, Computershare Investor Services Proprietary Limited (Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 or Private Bag X9000, Saxonwold, 2132 or proxy@computershare.co.za) for administration purposes not later than 10:00 on Tuesday, 22 August 2023.

Shareholders who have dematerialised their shares through a Central Securities Depository Participant ("CSDP") or broker, other than by own name registration, and who wish to attend the meeting must instruct their CSDP or broker to issue them with the necessary letter of representation to attend the meeting, in terms of the custody agreement entered into between such shareholders and their CSDP or broker. The letter of representation will need to be submitted together with the completed Electronic Participation Application Form to the company's transfer secretaries and to the company in the manner and within the timeframe described above under the section titled "Electronic Attendance At The Meeting".

Shareholders who have dematerialised their shares through a CSDP or broker, other than by own name registration, who wish to vote by way of proxy should provide their CSDP or broker with their voting instructions by the cut-off time or date advised by their CSDP or broker for transactions of this nature.

Each certificated or own name dematerialised shareholder entitled to attend and vote at the meeting may appoint one or more proxies (none of whom need be an AME shareholder) to attend, speak and vote in his/her stead. The completion and lodging of a form of proxy will not preclude a shareholder from attending the meeting and speaking and voting thereat to the exclusion of the proxy so appointed, provided that the shareholder has registered for attendance of the meeting as set out under the section titled "Electronic Attendance At The Meeting".

By order of the board

A handwritten signature in blue ink, appearing to read 'C Roberts', is positioned above the printed name and title.

C Roberts
Company secretary

20 July 2023

SUMMARY OF RIGHTS ESTABLISHED BY SECTION 58 OF THE COMPANIES ACT AS REQUIRED IN TERMS OF SUB-SECTION 58(8)(B)(I)

1. A shareholder may at any time appoint any individual, including a non-shareholder of the company, as a proxy to participate in, speak and vote at a shareholders' meeting on his or her behalf (section 58(1)(a)), or to give or withhold consent on behalf of the shareholder to a decision in terms of section 60 (shareholders acting other than at a meeting) (section 58(1)(b)).
2. A proxy appointment must be in writing, dated and signed by the shareholder, and remains valid for one year after the date on which it was signed or any longer or shorter period expressly set out in the appointment, unless it is revoked in terms of paragraph 6.3 or expires earlier in terms of paragraph 10.4 below (section 58(2)).
3. A shareholder may appoint two or more persons concurrently as proxies and may appoint more than one proxy to exercise voting rights attached to different securities held by the shareholder (section 58(3)(a)).
4. A proxy may delegate his or her authority to act on behalf of the shareholder to another person, subject to any restriction set out in the instrument appointing the proxy ("proxy instrument") (section 58(3)(b)).
5. A copy of the proxy instrument must be delivered to the company, or to any other person acting on behalf of the company, before the proxy exercises any rights of the shareholder at a shareholders' meeting (section 58(3)(c)) and in terms of the Memorandum of Incorporation ("MOI") of the company at least 48 hours before the meeting commences.
6. Irrespective of the form of instrument used to appoint a proxy:
 - 6.1 the appointment is suspended at any time and to the extent that the shareholder chooses to act directly and in person in the exercise of any rights as a shareholder (section 58(4)(a));
 - 6.2 the appointment is revocable unless the proxy appointment states otherwise (section 58(4)(b)); and
 - 6.3 if the appointment is revocable, a shareholder may revoke the proxy appointment by cancelling it in writing or by making a later, inconsistent appointment of a proxy, and delivering a copy of the revocation instrument to the proxy and to the company (section 58(4)(c)).
7. The revocation of a proxy appointment constitutes a complete and final cancellation of the proxy's authority to act on behalf of the shareholder as of the later of the date stated in the revocation instrument, if any, or the date on which the revocation instrument was delivered as contemplated in paragraph 6.3 above (section 58(5)).
8. If the proxy instrument has been delivered to the company, as long as that appointment remains in effect, any notice required by the Companies Act or the company's MOI to be delivered by the company to the shareholders must be delivered by the company to the shareholders (section 58(6)(a)), or the proxy or proxies, if the shareholder has directed the company to do so in writing and paid any reasonable fee charged by the company for doing so (section 58(6)(b)).
9. A proxy is entitled to exercise, or abstain from exercising, any voting right of the shareholder without direction, except to the extent that the MOI or proxy instrument provides otherwise (section 58(7)).
10. If the company issues an invitation to shareholders to appoint one or more persons named by the company as a proxy, or supplies a form of proxy instrument:
 - 10.1 the invitation must be sent to every shareholder entitled to notice of the meeting at which the proxy is intended to be exercised (section 58(8)(a));
 - 10.2 the invitation or form of proxy instrument supplied by the company must:
 - 10.2.1 bear a reasonably prominent summary of the rights established in section 58 of the Companies Act (section 58(8)(b)(i));
 - 10.2.2 contain adequate blank space, immediately preceding the name(s) of any person(s) named in it, to enable a shareholder to write the name, and if desired, an alternative name of a proxy chosen by the shareholder (section 58(8)(b)(ii)); and
 - 10.2.3 provide adequate space for the shareholder to indicate whether the appointed proxy is to vote in favour of or against any resolution(s), to be put at the meeting, or is to abstain from voting (section 58(8)(b)(iii));
 - 10.3 the company must not require that the proxy appointment be made irrevocable (section 58(8)(c)); and
 - 10.4 the proxy appointment remains valid only until the end of the meeting at which it was intended to be used, subject to paragraph 7 above (section 58(8)(d)).

FORM OF PROXY



(Incorporated in the Republic of South Africa)
(Registration number 1926/008797/06)
(JSE share code: AME)
(ISIN: ZAE000055802)
("AME" or "the company")

For use by certificated shareholders and dematerialised shareholders with own name registration at the 25th annual general meeting of the holders of ordinary shares in the company ("AME shareholders") to be conducted entirely by electronic communication at 10:00 on Thursday, 24 August 2023 ("the annual general meeting").

I/We

being the registered holder/s of ordinary shares in the capital of the company, of (address):

hereby appoint (see note 1):

1. or failing him/her,
2. or failing him/her,
3. the chairman of the annual general meeting,

as my/our proxy to act for me/us at the annual general meeting for the purposes of considering and, if deemed fit, passing, with or without modification, the resolutions to be proposed thereat, and at each adjournment thereof, and to vote for or against the resolutions or abstain from voting in respect of the ordinary shares registered in my/our name/s in accordance with the following instructions (see note 2).

Resolution number	For	Against	Abstain
Ordinary resolutions			
1. To adopt the annual financial statements for the year ended 31 March 2023			
2. To place unissued ordinary shares of the company under the control of the directors			
3.1 To re-elect Mr ACG Molusi as an independent non-executive director of the company			
3.2 To re-elect Ms K Williams-Thipe as an independent non-executive director of the company			
4.1 To elect Ms DS Qocha as an independent non-executive director of the company			
4.2 To elect Mr SN Ngobese as an independent non-executive director of the company			
6.3 To elect Mr RCH Fedder as an independent non-executive director of the company			
5. To appoint Mazars South Africa, as the independent auditor			
6.1 To re-elect Mr MA da Costa as chairwoman and member of the audit committee			
6.2 To re-elect Ms J Edwards as member of the audit committee			
6.3 To re-elect Mr MJ Prinsloo as member of the audit committee			
6.4 To elect Mr SN Ngobese as member of the audit committee			
7.1 To re-elect Ms K Williams-Thipe as chairwoman and member of the social and ethics committee			
7.2 To elect Mr SN Ngobese as member of the social and ethics committee			
7.3 To elect Mr DM Tiltmann as member of the social and ethics committee			
8. To authorise a director or company secretary to sign documentation to give effect to resolutions passed			
Non-binding advisory ordinary resolution			
9. To approve the remuneration policy			
10. To approve the implementation of the remuneration policy			
Special resolutions			
1. To approve financial assistance to related or inter-related entities to the company			
2. To approve the remuneration of the non-executive directors			
3. To approve the general authority for the company and/or the subsidiary to acquire the company's own shares			
4. To approve financial assistance for subscription or purchase of securities by related or inter-related entities to the company			

Signed at on 2023

Signature

Assisted by (where applicable state capacity and full name)

Each AME shareholder is entitled to appoint one or more proxy/ies (who need not be a shareholder/s of the company) to attend, speak and vote in his or her stead at the annual general meeting.

Please read the notes on the reverse side hereof.



NOTES TO THE FORM OF PROXY

1. An AME shareholder may insert the name of a proxy or the names of two alternative proxies of his/her choice in the space/s provided, without deleting “the chairman of the annual general meeting”, but any such deletion must be initialled by the AME shareholder concerned. The person whose name appears first on the form of proxy and who is present at the annual general meeting, will be entitled to act as proxy to the exclusion of those names that follow.
2. An AME shareholder’s instruction to the proxy must be shown by indicating in the appropriate boxes provided the manner in which that AME shareholder wishes to vote by inserting an “X” in the relevant box unless a shareholder wishes to split his/her votes. In this case the relevant number of shares to be so voted must be indicated in the relevant box. Failure to comply with the above will be deemed to authorise the proxy to vote, or abstain from voting, at the annual general meeting as he/she deems fit in respect of all the AME shareholder’s votes exercisable thereat.
3. An AME shareholder or his/her proxy is not obliged to use all the votes exercisable by the member or to cast all these votes exercised in the same way, but the total of the votes cast may not exceed the total of the votes exercisable by the member. Failure to comply with the above will be deemed to be authority to the chairman of the annual general meeting, if he is the authorised proxy, to vote in favour of the resolutions proposed at the annual general meeting or any other proxy to vote or abstain from voting at the annual general meeting as he deems fit, in respect of the shares concerned.
4. Forms of proxy and any power of attorney by virtue of which such proxy is signed (or a notarially certified copy of such power of attorney) must be lodged at or posted to the transfer secretaries of the company, Computershare Investor Services Proprietary Limited (Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 or Private Bag X9000, Saxonwold, 2132 or via e-mail to proxy@computershare.co.za), to be received by not later than 10:00 on Tuesday, 22 August 2023 or e-mailed to AME’s company secretary, companysecretary@ame.co.za, before the commencement of the annual general meeting by no later than 10:00 on Thursday, 24 August 2023.
5. Any alteration or correction made to this form of proxy must be initialled by the signatory/ies.
6. Documentary evidence establishing the authority of a person signing this form of proxy in a representative capacity must be attached to this form of proxy unless previously recorded by the company’s secretary or waived by the chairman of the annual general meeting.
7. If you are a dematerialised shareholder, other than by own name registration, you must inform your appointed Central Securities Depository Participant (“CSDP”) or broker of the manner in which you wish to vote in order for them to notify the secretary by not later than 10:00 on Tuesday 22 August 2023. Only registered certificated shareholders recorded in the main register of members of the company or under own names in the dematerialised register, may complete a proxy form or alternatively attend the annual general meeting. Those dematerialised shareholders who are not registered under their own names who wish to attend the annual general meeting or vote by proxy must contact their CSDP or broker who will provide them with the necessary authority to do so, or carry out their instructions.
8. This must be done in terms of the agreement between the shareholder and his/her CSDP as applicable.
9. The chairman of the annual general meeting may reject or accept any proxy form which is completed and/or received, other than in compliance with the memorandum of incorporation of the company or these notes.



Participation in the AGM via electronic communication

TERMS USED IN THIS FORM SHALL BEAR THE MEANINGS ASCRIBED THERETO IN THE NOTICE TO WHICH THIS FORM IS ATTACHED

1. Shareholders or their duly appointed proxy(ies) that wish to participate in the AGM via electronic means ("Participants"), must apply to Computershare, by delivering this duly completed Form to:

Rosebank Towers, First Floor, 15 Biermann Avenue, Rosebank 2196, or posting it to Private Bag X9000, Saxonwold, 2132 (at the risk of the Participant), or by email to proxy@computershare.co.za so as to be received by Computershare by no later than 10:00 on Tuesday, 22 August 2023.

Alternatively, shareholders can email companysecretary@ame.co.za so as to be received by no later than 10:00 on Tuesday, 22 August 2023.

2. Important notice

- 2.1 Participants that have delivered valid forms, and have been verified, will receive a Google Meet invite with the meeting ID link via email on 24 August 2023 to enable them to participate electronically in the AGM.
- 2.2 The cut-off time to participate in the AGM via electronic means will be at 09:55 on Thursday, 24 August 2023.

Application form	
Full name of Participant:	
ID number:	
Email address:	
Cell number:	
Telephone number: (code):	(number):
Name of CSDP or broker (if shares are held in dematerialised format):	
Contact number of CSDP/broker:	
Contact person of CSDP/broker:	
Number of share certificate (if applicable):	
Signature	
Date	

- 2.3 If you are a dematerialised shareholder, please attach to this form the Letter of Representation received from your stockbroker/CSDP to attend the meeting.

Terms and conditions for participation in the AGM via electronic means

1. The cost of electronic participation in the AGM is for the expense of the Participant and will be billed separately by the Participant's own service provider.
2. The Participant acknowledges that the electronic communication services are provided by third parties and indemnifies AME against any loss, injury, damage, penalty or claim arising in any way from the use or possession of the electronic services, whether or not the problem is caused by any act or omission on the part of the Participant or anyone else. In particular, but not exclusively, the Participant acknowledges that he/she will have no claim against the Company, whether for consequential damages or otherwise, arising from the use of the electronic services or any defect in it or from total or partial failure of the electronic services and connections linking the Participant via the electronic services to the AGM.
3. **Participants should note that they will not be able to vote during the AGM.** Should Participants wish to vote, they should, in accordance with the Notice on page 70, as may be applicable, either:
 - 3.1 complete the proxy form and return it to Computershare in accordance with the Notice; or
 - 3.2 contact their CSDP or broker as set out in accordance with the Notice; or
 - 3.3 complete a proxy form and return it to the company in accordance with the Notice.
4. The application to participate in the AGM electronically will only be deemed successful if this application form has been completed fully and signed by the Participant.

Participant's name

Signature

Date

[illegible]

[illegible]

[illegible]

ADMINISTRATION

AFRICAN MEDIA ENTERTAINMENT LIMITED

Incorporated in the Republic of South Africa
Registration number 1926/008797/06
Share Code: AME
ISIN Number: ZAE000055802

AUDITOR

BDO South Africa Incorporated
Chartered Accountants (SA)
Practice number 903485E
Registered Auditors
52 Corlett Drive
Wanderers Office Park
Illovo, 2196

BANKERS

Absa Capital CIBW
15 Alice Lane
Sandton, 2196

LEGAL ADVISORS

Fluxmans Attorneys
30 Jellicoe Avenue
Rosebank
Johannesburg, 2196

SECRETARY AND REGISTERED OFFICE

C Roberts
AME Office Park
No. 5, 8th Street
Houghton Estate
Johannesburg, 2198

PO Box 3014, Houghton, 2041

SPONSOR

AcaciaCap Advisors (Pty) Limited
Registration number 2006/033725/07
20 Stirrup Lane
Woodmead Office Park
Corner Woodmead Drive and Van Reenens Avenue
Woodmead, 2191

Suite #439
Private Bag X29
Gallo Manor, 2052

TRANSFER SECRETARIES

Computershare Investor Services (Pty) Limited
Registration number 2004/003647/07
Rosebank Towers
15 Biermann Avenue
Rosebank, 2196

Private Bag X9000, Saxonworld, 2132

Telephone: +27 11 370 5000
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